

Annual Activity Report 2025

annexes

Directorate-General for Defence Industry and
Space

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ANNEX 1: Statement of the Director(s) in charge of Risk Management and Internal Control

"I declare that in accordance with the Commission's communication on the internal control framework ⁽¹⁾, I have reported my advice and recommendations on the overall state of internal control in the DG DEFIS to the Director-General. I hereby certify that the information provided in the present annual activity report and in its annexes is, to the best of my knowledge, accurate and complete."

Brussels, 31 March 2026

e-signed

Lorena Boix Alonso

Acting Director General Affairs and Resources

⁽¹⁾ C(2017)2373 of 19.04.2017.

ANNEX 2: Performance tables

General objective 1: A new plan for Europe's sustainable prosperity and competitiveness

Specific Objective 1.1: Strengthen the EU's competitiveness, resilience and autonomy through the provision of modern and well-functioning EU space assets and EU space-enabled services

Related to spending programme(s): EU Space Programme and IRIS²

Result indicator 1.1.1: Galileo Open Service Availability

Explanation: Galileo Open Service availability on average at all user locations and for all frequency combinations

Unit of measurement: Percentage

Source of data: EUSPA Quarterly Implementation Report

This result indicator is selected as a KPI

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
99.9%	99.9%	99.9%	99.64%

Result indicator 1.1.2: EGNOS Safety of Life availability LPV-200

Explanation: Proportion of the EGNOS LPV-200 Safety of Life coverage area over EU-MS+NO+CH+IS land masses

Unit of measurement: Percentage

Source of data: EUSPA Quarterly Implementation Report

This result indicator is selected as a KPI

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
94%	94%	97%	87,6%

Result indicator 1.1.3: Number of users using the SST services

Explanation: The aim is to increase the number of users. Collision Avoidance: already open to third parties; important to increase number of users meaning more knowledge of events in the different orbits hence higher protection of EU/MS satellites. Re-entry service: open to third countries since March 2025. Fragmentation: the figures should not increase as this is a very specific, highly-secure-related service.

Unit of measurement: Number

Source of data: Registration at SST Front Desk at EUSPA

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)

- Collision Avoidance (CA) 168 users from 79 organisations - Fragmentation (FG) 325 users from 163 organisations - Re-entry (RE) 353 users from 177 organisations	- For CA: Increase 5% compared to 2024 - For FG: Increase 1% compared to 2024 - For RE: increase of 5% compared to 2024	- For CA: Increase 10% compared to 2024 - For FG: Increase 1% compared to 2024 - For RE: increase of 10% compared to 2024	- For CA: 211 users from 100 organisations - For FG: 416 users from 204 organisations - For RE: 574 users from 288 organisations
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Result indicator 1.1.4: Availability of Copernicus data and information.

Explanation: This indicator measures the time, the access to Copernicus data and information is actually available. This indicator is aggregated across the various elements of the Copernicus space and service components.

Unit of measurement: Percentage

Source of data: Periodic reporting of the Copernicus entrusted entities.

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
98%	increase compared to 2024	increase compared to 2024	100%

Result indicator 1.1.5: Number of launches for EU needs and launched from Union territory/ from the territory of members of EFTA which are members of the EEA / and outside the placed mentioned before, for a dedicated year or period.

Explanation: The indicator measures the capacity of European launchers to serve EU institutional needs.

Unit of measurement: Number

Source of data: Secure Connectivity and Space Programme

This result indicator is selected as a KPI

Baseline (2024)	Interim milestone - cumulated (2025-2027)	Target - cumulated (2025-2029)	Latest known results (situation on 31/12/2025)
2 (EU); 2 (non-EU)	9 (EU); 0 (non-EU)	20 (EU); 0 (non-EU)	5

Result indicator 1.1.6: Number of resource providers for the GOVSATCOM service catalogue items

Explanation: The indicator measures the extent of the Common Union Pool of satellite resources that provide the GOVSATCOM services and are connected to the GOVSATCOM Hub. It includes both governmental and commercial satellite communication providers.

Unit of measurement: Number

Source of data: DG DEFIS (contracts in place)

This result indicator is selected as a KPI

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)

0	7	>7	Service will start in 2026
Result indicator 1.1.7: Support to start-ups by CASSINI Business Accelerator Explanation: The indicator measures the number of companies participating in successive years in the CASSINI Business Accelerator Unit of measurement: Number Source of data: DG DEFIS (contracts in place) This result indicator is selected as a KPI			
Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
40	120	200	80
Main outputs in 2025:			
New policy initiatives			
Output	Indicator	Target	Latest known results (situation on 31/12/2025)
 (2) Regulation proposal for an EU Space Act	- Adoption by the Commission	- Q2 2025	- Adopted on 25/06/2025
Vision for the European Space Economy	- Adoption by the Commission	- Q2 2025	- Adopted by the Commission on 25/06/2025
GOVSATCOM initial services	- Announcement of first operational services	- Q2 2025	In 2025, a procurement to acquire existing governmental resources for the GOVSATCOM common Union pool was completed. The Commission signed contracts with five resource providers: France, Greece, Italy, Luxembourg, and Spain. Users will have access to a total of 35 different service products (27 raw capacity services and 8 End-to-end Capacity Services). The start the operations of GOVSATCOM is currently expected in Q1 2026.

(2) Initiatives that are part of the 2025 Commission Work Programme are marked with the following icon 

CASSINI Investment Facility - Seed and Growth Funding:			
- EIF signing investment agreements with VC funds and co-investments (InvestEU) - Companies receiving investments from venture capital funds (InvestEU)	- Number of VC funds signed by EIF per year & number of co-investments signed by EIF - Number of companies signed by venture capital funds (subscription agreements signed)		- 19 investment agreements with VC funds and 7 co-investment agreements signed (2020-2025). - >100 new venture capital investments in space-related companies (2021-25).

Implementation dialogues and reality checks

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Implementation dialogues with Commissioner Kubilius on space	- Number of dialogues in 2025	- 1	1

Other major outputs

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Civilian and military requirements of space operators in the field of space traffic management	- Final report	- Q4 2025	The final report gathering and aggregating the space traffic management requirements of civilian and military operators has advanced significantly throughout 2025; completion and publication of an Executive Summary is planned for Q1/2026
Launch calls for tender for EU SST ecosystem	- Publication of calls for tender	- Q4 2025	In 2025, the EU SST Partnership launched 15 SST calls for tender worth more than 20 million EUR, spanning from commercial data acquisition to R&D activities fostering and improving EU SST capabilities and the Union's industrial ecosystems

Civilian and military requirements of space operators in the field of space traffic management	- Final report	- Q4 2025	The final report gathering and aggregating the space traffic management requirements of civilian and military operators has advanced significantly throughout 2025; completion and publication of an Executive Summary is planned for Q1/2026
Launch call for tender for EU Space Weather service	- Publication of call for tender	- Q2 2025	Preparations to launch a call for tender to procure an EU Space Weather service have advanced significantly throughout 2025; completion and launch is planned for Q1/2026
Game-changing innovation for access to space	- Publication of Rules of Contest for prizes	- Q2 2025 (prizes award expected in Q4 2025)	- Done
2025 Annual Progress Report on Simplification, Implementation and Enforcement of Commissioner Andrius Kubilius	- Publication of the report	- Q1 2025	- 21 October 2025
Implementation Dialogue on Defence	- Stakeholder consultation	- Q2 2025	- 19 May 2025
Implementation Dialogue on Space	- Stakeholder consultation	- Q4 2025	- 5 Nov 2025
CASSINI Hackathons & Mentoring	- Number of Hackathons & Mentoring	- 20 Hackathons across Q2 and Q4 2025	- Done
CASSINI Space Camps	- Number of Space Camps	- 7 Space Camps across Q2 and Q3 2025	- Done
Galileo constellation achievement	- Final configuration	- Q1 2025	- Q1 2025
Galileo Open Service Navigation Message Authentication	- Service declaration	- Q3 2025	- July 2025
EU ISOS Joint Declaration	- Signing of the declaration	- Q1 2025	- Signature on 28/01/2025

General Objective 2: A new era for European Defence and Security (also contributing to General Objective 1: A new plan for Europe's sustainable prosperity and competitiveness)

Specific Objective 2.1: Reduce fragmentation of efforts and reinforce joint investments and cooperation within the EU defence industry and technological base, including SMEs and Mid-Caps – building a European Defence Union

Related to spending programme: European Defence Fund (EDF)

Result indicator 2.1.1: Value of European defence R&D conducted in collaborative settings with EU support

Explanation: The indicator measures the value of collaborative defence research & development projects financially supported by the European Defence Fund, cumulated over years.

Unit of measurement: value

Source of data: EDF

This result indicator is selected as a KPI

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
EUR 3.1 billion	EUR 5 billion	EUR 7.3 billion	EUR 4.1 billion

Result indicator 2.1.2: Share and number of SMEs supported by the European Defence Fund

Explanation: The indicator measures the degree of involvement of SMEs in the European Defence Fund, aggregated across research & development projects, and cumulated over years.

Unit of measurement: percentage, number

Source of data: EDF

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
42%	N/A	N/A	43%
600	Increase compared to 2024	Increase compared to 2024	725

Main outputs in 2025:

New policy initiatives

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
European Defence Industry Programme (EDIP)	- Adoption by the colegislators	- Q2 2025	- Q4 2025
BraveTech EU initiative	- Launch of the initiative	- Q3 2025	- Q3 2025

Main outputs in 2025:**Evaluations and fitness checks – part of the stress testing of the EU acquis**

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
EDF Interim Evaluation	- Adoption by the Commission	- Q2 2025	- The EDF Interim Evaluation report was published in June 2025

Major implementation activities and enforcement actions

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Launch implementation of EDIP and SAFE once they enter into force	- Start of activities	- Q3 2025	- SAFE was adopted in May 2025 and is currently being implemented - EDIP was adopted in December 2025, with advance preparation meetings and activities starting in September-October 2025

Other major outputs

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Annual EDF Work Programme	- Adoption by Commission	- Q1 2025	- The EDF 2025 Work Programme was published on 30 January 2025
Adoption of the award decision for the EDF 2024 Calls	- Adoption by Commission	- Q4 2025	- Three award decisions supporting EDF 2024 project proposals were adopted in September and October 2025
Grant Agreement signature for the EDF 2024 Calls.	- Signature by the Commission and project coordinators	- Q4 2025	- All Grant Agreements for EDF 2024 projects were signed by December 2025

EUDIS Hackathon and Mentoring	- Second hackathon event	- Q2 2025	- 2 EUDIS Hackathons were organised across 16 locations in Europe
Joint EUDIS and CASSINI Hackathon and Mentoring	- Third joint Space & Defence hackathon event	- Q4 2025	- Event from 17 to 19 October 2025
EUDIS Business Accelerator	- Launch of the first call for applications	- Q1 2025	- First call for applications opened in March 2025
EUDIS Matchmaking	- Launch of initiative	- Q1 2025	- 5 in person events - 2 online events

Specific Objective 2.2: Develop a Single Market for Defence capable of delivering a full spectrum of innovative solutions, tools, space-enabled services, and technologies, reinforcing readiness of the EU's defence industrial and technological base to effectively anticipate, prevent, withstand or respond to any type of military contingencies, cyber-attacks or hybrid threats

Related to spending programmes: European Defence Industry Programme (EDIP) and EU Defence Industry Reinforcement through Common Procurement Act (EDIRPA)

Result indicator 2.2.1: Value of European defence equipment commonly procured with EU support

Explanation: The indicator measures the cumulative value of projects for common procurement of defence equipment, financially supported by EU programmes.

Unit of measurement: value

Source of data: EDIP, EDIRPA

This result indicator is selected as a KPI

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
0	Increase compared to 2024	Increase compared to 2024	No reporting available yet – starting 2026

Result indicator 2.2.2: Number of jobs supported in the European Defence Technological and Industrial Base (EDTIB) through EU defence programmes

Explanation: The indicator measures the number of annual full-time equivalents supported in the EDTIB by EU programmes, aggregated across research & development projects, industrial production ramp-up, and joint procurement initiatives, cumulated over years. The simulation will be made with the support of JRC. Unit of measurement: number

Source of data: EDF, EDIP, ASAP, EDIRPA

Baseline (EDF) (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)

22500	Increase compared to 2024	Increase compared to 2024	NA ⁽³⁾
Result indicator 2.2.3: Number of Ukrainian defence companies participating in EU defence industrial programmes and initiatives Explanation: This indicator measures the cumulative number of Ukrainian defence companies participating in EDIP. It reflects their level of engagement with the EU defence sector and closer integration into the EDTIB. Unit of measurement: Number Source of data: EDIP This result indicator is selected as a KPI			
Baseline (EDF) (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
0	Increase compared to 2024	Increase compared to 2024	No reporting available yet – starting 2026
Main outputs in 2025:			
New policy initiatives			
Output	Indicator	Target	Latest known results (situation on 31/12/2025)
 ⁽⁴⁾ Joint White Paper for European Defence Readiness 2030	- Adoption by the Commission	- Q1 2025	- Adopted on 19/03/2025
Proposal for a Regulation on Military Mobility	- Adoption by the Commission	- Q4 2025	- Adopted on 19/11/2025
Joint Communication on Military Mobility	- Adoption by the Commission	- Q4 2025	- Adopted on 19/11/2025
Defence Readiness Roadmap 2030	- Adoption by the Commission	- Q4 2025	- Adopted on 16/10/2025
EU Defence Industry Transformation Roadmap	- Adoption by the Commission	- Q4 2025	- Adopted on 19/11/2025
Initiatives linked to regulatory simplification and burden reduction			
Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Defence mini omnibus	- Adoption by the Commission	-	- Q4 2025

⁽³⁾ The methodology to calculate this indicator will be developed with JRC in the upcoming period to cover all ongoing defence programmes. The estimates provided for the baseline were computed during the EDF Interim Evaluation.

⁽⁴⁾ Initiatives that are part of the 2025 Commission Work Programme are marked with the following icon 

Defence Omnibus Simplification proposal	- Adoption by the Commission	- Q2 2025	- 17 June 2025
Implementation dialogues and reality checks			
Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Implementation dialogues with Commissioner Kubilius on defence	- Number of dialogues in 2025	- 1	- 1

Specific Objective 2.3: Further develop synergies between Space and Defence

Related to spending programmes: EU Space Programme

Result indicator 2.3.1: Number of defence users of the EU Space Programme

Explanation: The indicator measures the number of registered users in defence entities, authorised to access the governmental services of the EU Space Programme. This information is available at system level.

Unit of measurement: Number

Source of data: EU Space Programme

This result indicator is selected as a KPI

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
0	10,000	25,000	No reporting yet

Result indicator 2.3.2: Financial volume of the EU Space Programme relating to governmental services

Explanation: This indicator measures the amount dedicated to governmental/defence procurements under the EU Space Programme.

Unit of measurement: Value in euros

Source of data: EU Space Programme

Baseline (2021-2027)	Target (2028-2034)	Latest known results (situation on 31/12/2025)
7.5Bn€	N/A	No reporting yet – starting 2026

Result indicator 2.3.3: Financial volume of R&D activities relating to both Space and Defence

Explanation: The indicator measures the amount dedicated to R&D activities that targets both Defence and Space objectives. The activities can be performed under direct management or indirect management.

Unit of measurement: Value in euros

Source of data: EU Space Programme, European Defence Fund (EDF)

Baseline (2024)	Interim milestone (2027)	Target (2028-2034)	Latest known results (situation on 31/12/2025)
70M€	85M€	N/A	TBC
Main outputs in 2025:			
Other major outputs			
Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Risk assessment reports and Roadmaps from the Observatory on Critical Technologies	- New classified reports and roadmaps finalised	- Q4 2025	- Risk assessment reports and technologies roadmap finalised mid 2025
Pilot Earth Observation governmental service (EOGS)	- Geospatial analyses (some will be EUCI) produced by the pilot EOGS implemented by the EU Satellite Centre	- Q4 2025	- Start of the pilot in July 2027
Galileo Public Regulated Service Initial Operational Capability	- Accreditation of the Service by the Security Accreditation Board	- Q4 2025	- Q1 2026

General objective 4: Sustaining our quality of life: food security, water and nature

Specific Objective 4.1: Provide reliable EU space-based data and services as cornerstones for the monitoring of, and transition to, climate-neutrality and ecological sustainability as well as preparedness and crisis management thanks to the EU Space Programme

Related to spending programme(s): EU SPACE Programme

Result indicator 4.1.1: Number of users of the Copernicus data and information

Explanation: This is the number of registered/active users of the Copernicus Data Space Ecosystem and of the six thematic Copernicus services. (Note that the number of EU users are reported for the space component and some services, while some services in their reporting do not distinguish between EU and international users.)

Unit of measurement: Number

Source of data: Periodic reporting of the Copernicus entrusted entities

This result indicator is selected as a KPI

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
1 048 000	increase compared to 2024	increase compared to 2024	1 042 455 (status Q3 2025)

Result indicator 4.1.2: Copernicus User Satisfaction

Explanation: Entrusted entities are invited to make studies, surveys and interviews on a regular basis (annually) among their users to assess the satisfaction. Where possible these results will be associated a relative weight and transformed into a uniform satisfaction index.

Unit of measurement: Percentage

Source of data: Periodic reporting of the Copernicus entrusted entities

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
80%	80%	80%	93%

Result indicator 4.1.3: Galileo User Satisfaction

Explanation: Galileo User Satisfaction

Unit of measurement: Percentage

Source of data: EUSPA Galileo User Satisfaction Survey Public Document
(<https://www.gsc-europa.eu/electronic-library/galileo-user-satisfaction-survey>)

This result indicator is selected as a KPI

Baseline (2024)	Interim milestone (2027)	Target (2029)	Latest known results (situation on 31/12/2025)
83%	84%	85%	86.3%

Main outputs in 2025:

Major implementation activities and enforcement actions

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
PEFCR4space	- Number of Technical Secretariat and Working Group meetings - Number of replies received in the 1st PEFCR4Space draft public consultation - Complete and publish procurement documents for PEFCR4Space supportive measures.	- Public Consultation on 1st PEFCR4Space draft - Implement supportive measures for implementing PEFCR4Space by space sector	- 43 PEFCR4Spacetechnical Secretariat and working groups meetings held in 2025 - More than 200 comments received to the PEFCR4Space 1st Draft - Call for procurement launched on 29 October for PEFCR4Space supportive measures implementation

Other major outputs

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Copernicus European State of the Climate Report	- Publication of the report	- April 2025	- Published on 15/04/2025.
Annual Ocean State Report	- Publication of the report	- Q4 2025	- Published on 23/09/2025

ANNEX 3: Draft annual accounts and financial reports

https://dashboard.tech.ec.europa.eu/qs_digit_dashboard_mt/public/extensions/BUDG_Annex3/BUDG_Annex3.html

ANNEX 4: Financial scorecard

The transition in 2025 to the Commission's new accounting system, SUMMA, has required the adjustment to a new system and has impacted budget implementation tasks, processes and financial management activities, particularly during the first part of the year. This has resulted in a slight lower performance for some standard financial indicators: the commitment and payment forecast, the timely payments and the data quality.

https://dashboard.tech.ec.europa.eu/qs_digit_dashboard_mt/public/extensions/BUDG_Annex4/BUDG_Annex4.html

ANNEX 5: Materiality criteria

The present document details the way DEFIS assesses the level of errors in its annual financial statements and the definition of the level of misstatement that is considered as quantitatively material. The overall control objective is to ensure that the residual error rate affecting the relevant expenditure of 2025 remains below 2%.

DEFIS' expenditure is composed of indirectly managed procurement (space, Horizon Europe) and grants (Horizon Europe, H2020, EDF), directly managed grants (EDF, ASAP, EDIRPA, EDIDP) and procurement (secured connectivity concession contract, space and Horizon Europe) and other direct spending mostly of an administrative nature. The error rate affecting payments is estimated yearly and per management system, following a methodology that considers the risk associated to the type of expenditure (in terms of probability and final financial impact).

DEFIS managed in 2025 financial operations under GNSS (Galileo, EGNOS), Copernicus, Secured connectivity, H2020, Horizon Europe and other programmes such as EDF, EDIDP, ASAP, EDIRPA and GOVSATCOM/SSA. Considering that the largest part of DEFIS' yearly expenditure is related to indirectly managed Space agreements, the following section focusses on this specific management system.

Since 2019 ⁽⁵⁾, a 'de minimis' threshold for financial reservations has been introduced. Quantified annual activity report reservations related to residual error rates above the 2% materiality threshold are deemed not substantial for segments representing less than 5% of a department's total payments and with a financial impact below EUR 5 million. In such cases, quantified reservations are no longer needed. Cases where the 'de minimis' threshold applies this year are reported in annex 9.

⁽⁵⁾ Agreement of the Corporate Management Board of 30/4/2019.

Space programmes (GNSS, Copernicus)

The assessment of the effectiveness of the different programmes' control system is based on ex-ante verification and on ex-post audits' results. The effectiveness is expressed in terms of detected and residual error rate, calculated from the best available estimates.

Assurance on the efficient use of delegated fund is obtained through the following elements:

- Before signing a Contribution agreement (Delegation agreement under previous MFF), the entrusted entity undergoes a pillar assessment on its internal control environment.
- Pre-financing payments are subject to ex-ante operational and financial verification of the quarterly/semestrial and annual implementation reports (respectively QIRs/SIRs and AIRs) provided by entrusted entities; assessing the reliability of budgetary data; keeping an up to date overview of commitments and payments forecasted and executed; ensuring that actual and forecasted expenses remain within the allocated budget; checking actual expenditure versus forecast, and updating cash needs and level of commitments; developing a long-term financial planning covering the full MFF; verifying consistency of figures and challenging costs reported based on information provided; justifying acceptance of costs and clearings, analysing the schedule, its credibility and challenging it, if needed; analysing the risks and the effectiveness of the mitigation actions proposed; analysing the KPIs (key performance indicators) and ensuring they are in the limits requested by the programme.
- In depth ex-ante controls of accounting data, ex-ante checks of reported costs on assets at year-end (review of status of contracts)
- Ex-post audits performed by DG DEFIS on annual declared cost. For ESA and EUSPA, most Annual Implementation Reports under the different programmes are audited every year. The other entrusted entities are audited usually every two years.

The errors detected during the audits have no impact on the legality and regularity of the amounts paid to the entities, because the final annual eligible costs, considering audit adjustments, are cleared from the total outstanding pre-financing amount.

The error rates used for the calculation of the amount at risk at payments for each programme are the detected error rates stemming from the finalised ex-post audits performed for the respective year. The detected error rate is calculated as a comparison between the errors and the amount of the audited sample of the AIR. As all errors are corrected through adjustments in the clearing, the detected error rate for Space programmes is equal to the residual error rate.

DG DEFIS considers that the error rates detected by its audits are a reliable indicator for the legality and regularity of the non-audited transactions. Furthermore, based on its monitoring and supervision, DG DEFIS considers that the level of error remains relatively stable over the years. Even if the error rate happens to be very low DG DEFIS decided to use an error rate of 0.5% as a conservative approach.

B. Research framework programmes – common aspects

This Annex provides a detailed explanation on how the Authorising Officer by Delegation defined the materiality threshold as a basis for determining whether significant weaknesses should be subject to a formal reservation to his/her declaration.

Introduction

Deciding on whether a weakness is significant is a **matter of judgement** by the Authorising Officer by Delegation, who remains responsible for the declaration of assurance, including any reservations to it. In doing so, he/she should **identify the overall impact of a weakness** and **judge whether it is material** enough so that the non-disclosure of the weakness is likely to have an influence on the decisions or conclusions of the users of the declaration. The benchmark for this judgement is the materiality criteria which the AOD sets when designing the internal control system under his/her responsibility. For DG RTD, the materiality of residual weaknesses identified (i.e. after mitigating and corrective measures) is assessed based on qualitative and/or quantitative criteria, in line with the instructions for the preparation of the Annual Activity Report.

The **qualitative assessment** includes an analysis of the causes and the types of error (including whether they are repetitive) to conclude on the nature, context and/or scope of the weaknesses identified. This may refer to significant control system weaknesses or critical issues reported by the Directors, the Authorising Officers by Sub-Delegation, the European Court of Auditors (ECA), the Internal Audit Service (IAS), DG BUDG or OLAF. Also, the duration and any mitigating controls or corrective actions are taken into consideration.

The **quantitative assessment** aims at estimating any financial impact ("amount at risk") resulting from the errors detected. DG RTD has set the materiality level for each distinct research framework programme with coherent risk characteristics for the amount at risk over the programming period. This analysis and the conclusions are presented concisely in the body of the Annual Activity report.

Chapter A – Qualitative criteria for defining significant weaknesses

For all methods of implementation under its operational budget, the different parameters relevant in DG RTD for determining significant weaknesses are the following ones:

- **Significant control system weaknesses**

Control system weaknesses (whether this is in a system operated by the Commission or by a third party) may be identified by management itself (for example through ex-post audits or through the assessment of the effectiveness of internal control systems), by internal or external auditors or by third party control instances. They may relate to the design or operational effectiveness of a control or of an entire system.

- **Critical issues outlined by the European Court of Auditors, the Internal Audit Service, DG BUDG and OLAF.**

Any critical recommendations made by the European Court of Auditors, the IAS, DG BUDG or OLAF, which have not been effectively addressed should be assessed in terms of their significance. Here, the term "critical recommendation" is used in a wider sense; it includes those recommendations labelled by the auditor as "critical" as well as those not labelled at all which is assessed as having a critical impact on the assurance. The impact on assurance of recommendations labelled "very important" for which there is a significant delay in the implementation of the Action Plan will also be taken into account.

- **Significant reputational events**

Events or weaknesses which have a significant reputational impact on DG RTD, or indirectly on the Commission, will be reported irrespective of the amount of damage to DG RTD administrative and operational budget and will be considered for issuing a reservation on a reputational basis.

When assessing the significance of any weaknesses, the following factors are considered:

- the nature and scope of the weakness;
- the duration of the weakness;
- the existence of compensatory measures (mitigating controls which reduce the impact of the weakness)
- the existence of effective corrective actions to correct the weaknesses (Action Plans and financial corrections) which have had a measurable impact.

When significant weaknesses are identified, a quantification of the amount at risk should be carried out when possible (See Chapter B).

Chapter B – Quantitative criteria for defining reservations

DG Research and Innovation's expenditure is composed of indirectly managed grants, directly managed grants, financial instruments, contribution to administrative expenditure of Executive Agencies and other direct spending mostly of an administrative nature. The error rate affecting payments is estimated yearly and per management system, following a methodology that takes into account the risk associated to the type of expenditure.

Considering that the research framework programmes' implementing bodies ⁽⁶⁾ are sharing a common ex-post audit approach, and an important part of DG RTD yearly expenditure is related to indirectly or directly managed research grants, the following section focusses on this specific management system.

RESEARCH FRAMEWORK PROGRAMMES – COMMON ASPECTS

The assessment of the effectiveness of the different programmes' control system is based mainly, but not exclusively, on ex-post controls results. The effectiveness is expressed in terms of detected and residual error rate, calculated on a representative sample on a multi-annual basis.

Assessment of the effectiveness of controls

The starting point to determine the effectiveness of the controls in place is the cumulative level of error expressed as the percentage of errors in favour of the EU budget, detected by ex-post controls, measured with respect to the amounts accepted after ex-ante controls.

However, to consider the impact of the ex-post controls, this error level is adjusted by subtracting:

- Errors detected and corrected as a result of the implementation of audit conclusions.

⁽⁶⁾ Directorates General, Executive Agencies and Joint Undertakings (also called Article 187 bodies) implementing grants of the Research Framework Programmes.

- Errors corrected as a result of the extension of audit results to non-audited contracts with the same beneficiary.

This results in a residual error rate —used for H2020 and Horizon Europe ⁽⁷⁾—which is calculated as follows:



where:

ResER%	residual error rate, expressed as a percentage.
RepER%	representative error rate, or error rate detected in the common representative sample, expressed as a percentage. The RepER% is composed of complementary portions reflecting the proportion of negative systemic and non-systemic errors detected. This rate is the same for all implementing entities, without prejudice to possibly individual detected error rates.
RepERSys%	portion of the RepER% representing negative systemic errors, (expressed as a percentage). The RepERSys% is the same for all entities and it is calculated from the same set of results as the RepER%
P	total requested EC contribution (€) in the auditable population (i.e. all paid financial statements).
A	total requested EC contribution (€) as approved by financial officers of all audited financial statements. This will be collected from audit results.
E	total non-audited requested EC contribution (€) of all audited beneficiaries.

The Common Representative Sample (CRS) is the starting point for the calculation of the residual error rate. It is representative of the expenditure of each Framework Programme (FP) as a whole. Nevertheless, the Director-General (or Director for the Executive Agencies) must also take into account other information when considering if the overall residual error rate is a sufficient basis on which to draw a conclusion on assurance (or make a reservation) for specific segment(s) of Horizon 2020/Horizon Europe. This information may include the results of other ex-post controls, ex-ante controls, risk assessments, audit reports from external or internal auditors, among others. All this information may be used in assessing the overall impact of a weakness and considering whether to make a reservation or not.

If the CRS results are not used as the basis for calculating the residual error rate this must be clearly disclosed in the AAR, along with details of why and how the final judgement was made.

⁽⁷⁾ The HORIZON population is stratified in two: one stratum composed of financial statements for actual costs reimbursements (including unit costs and specific unit costs) and a second stratum composed only of financial statements of lump sums specific grants (ex post controls based on technical reviews). As indicated in the formula, the calculation of the residual error rate for the Programme will be derived from both strata.

Should a calculation of the residual error rate based on a representative sample not be possible for a FP for reasons not involving control deficiencies ⁽⁸⁾, the consequences are to be assessed quantitatively by making a best estimate of the likely exposure for the reporting year based on all available information. The relative impact on the Declaration of Assurance would then be considered by analysing the available information on qualitative grounds and considering evidence from other sources and areas. This should be clearly explained in the AAR.

Multiannual approach

The Commission's central services' guidance relating to the quantitative materiality threshold refers to a percentage of the authorised payments of the reporting year of the Activity Based Budgeting (ABB) expenditure. However, the Guidance on AARs also allows a multi-annual approach, especially for budget areas (e.g., programmes) for which a multi-annual control system is more effective. In such cases, the calculation of errors, corrections, and materiality of the residual amount at risk should be done on a "cumulative basis" on the basis of the totals over the entire programme lifecycle.

Because of its multiannual nature, the effectiveness of the Research and Innovation family services' control strategy can only be fully measured and assessed at the final stages in the life of the framework programme, once the ex-post audit strategy has been fully implemented and systemic errors have been detected and corrected.

In addition, basing materiality solely on ABB expenditure for one year may not provide the most appropriate basis for judgements, as ABB expenditure often includes significant levels of pre-financing expenditure (e.g., during the initial years of a new generation of programmes), as well as reimbursements (interim and final payments) based on cost claims that 'clear' those pre-financings. Pre-financing expenditure is very low risk, being paid automatically after the signature of the contract.

Notwithstanding the multiannual span of their control strategy, the Directors-General (and the Directors of the Executive Agencies and Joint Undertakings) implementing Research and Innovation Framework Programmes are required to sign a statement of assurance for each financial reporting year. In order to determine whether to qualify this statement of assurance with a reservation, the effectiveness of the control systems in place needs to be assessed not only for the year of reference but also with a multiannual perspective, to determine whether it is possible to reasonably conclude that the control objectives will be met in the future as foreseen.

In view of the crucial role of ex-post audits defined in the respective common audit strategies, this assessment needs to check in particular whether the scope and results of the ex-post audits carried out until the end of the reporting period are sufficient and adequate to meet the multiannual control strategy goals.

The criteria for making a decision on whether there is material error in the expenditure of the DG or service, and thus, on whether to make a reservation in the AAR, will therefore be principally, though not necessarily exclusively, based on the level of error identified in ex-post financial audits and ex-post technical reviews of cost claims on a multi-annual basis.

⁽⁸⁾ Such as, for instance, when the number of results from a statistically representative sample collected at a given point in time is not sufficient to calculate a reliable error rate.

Adequacy of the audit scope

The quantity of the (cumulative) audit effort carried out until the end of each year is measured by the actual volume of audits completed. The data is to be shown per year and cumulated, in line with the current AAR presentation of error rates. The multiannual planning and results should be reported in sufficient detail to allow the reader to form an opinion on whether the strategy is on course as foreseen.

The Director-General (or Director for the Executive Agencies) should form a qualitative opinion to determine whether deviations from the multiannual plan are of such significance that they seriously endanger the achievement of the internal control objective. In such a case, they would be expected to qualify their annual statement of assurance with a reservation.

RESEARCH FRAMEWORK PROGRAMMES – SPECIFIC ASPECTS

The control system of each framework programme is designed to achieve the operational and financial control objectives set in their respective legislative base and legal framework. If the effectiveness of those control systems does not reach the expected level, a reservation must be issued in the annual activity report and corrective measures should be taken.

As each programme has a different control system, the following section details the considerations leading to the establishment of their respective materiality threshold and the conclusions to draw with regard to the declaration of assurance.

Horizon 2020 Framework Programme

The control system established for Horizon 2020 is designed to achieve a control result in a range of 2-5% detected error rate, which should be as close as possible to 2%, after corrections. Consequently, this range has been considered in the legislation as the control objective set for the framework programme.

This is based on the provision of the Commission's proposal for the Regulation establishing the Horizon 2020 Framework Programme ⁽⁹⁾states that:

It remains the ultimate objective of the Commission to achieve a residual error rate of less than 2% of total expenditure over the lifetime of the programme, and to that end, it has introduced a number of simplification measures. However, other objectives such as the attractiveness and the success of the EU research policy, international competitiveness, scientific excellence and in particular, the costs of controls need to be considered.

Taking these elements in balance, it is proposed that the Directorates General charged with the implementation of the research and innovation budget will establish a cost-effective internal control system that will give reasonable assurance that the risk of error over the course of the multiannual expenditure period is, on an annual basis, within a range of 2-5%, with the ultimate aim to achieve a residual level of error as close as possible to 2 % at the closure of the multi-

⁽⁹⁾ COM(2011) 809/3 Proposal for a Regulation of the European Parliament and of the Council establishing Horizon 2020 – the Framework programme for Research and Innovation (2014-2020), see point 2.2, pp 98-102.

annual programmes, once the financial impact of all audits, correction and recovery measures have been taken into account.

Horizon 2020 introduces a significant number of important simplification measures that will lower the error rate in all the categories of error. However, [...] the continuation of a funding model based on the reimbursement of actual costs is the favoured option. A systematic resort to output-based funding, flat rates or lump sums appears premature at this stage [...]. Retaining a system based on the reimbursement of actual costs does however mean that errors will continue to occur.

An analysis of errors identified during audits of the Seventh Framework Programme (FP7) suggests that around 25-35 % of them would be avoided by the simplification measures proposed. The error rate can then be expected to fall by 1.5 %, i.e. from close to 5 % to around 3.5 %, a figure that is referred to in the Commission Communication striking the right balance between the administrative costs of control and the risk of error.

The Commission considers therefore that, for research spending under Horizon 2020, a risk of error, on an annual basis, within a range between 2-5 % is a realistic objective taking into account the costs of controls, the simplification measures proposed to reduce the complexity of rules and the related inherent risk associated to the reimbursement of costs of the research project. The ultimate aim for the residual level of error at the closure of the programmes after the financial impact of all audits, correction and recovery measures will have been taken into account is to achieve a level as close as possible to 2 %.

Horizon Europe Framework Programme

For Horizon Europe Framework Programme ⁽¹⁰⁾, the general control objective, following the standard quantitative materiality threshold proposed in the standing instructions for Annual Activity Reports, is to ensure that the cumulative representative error rate and the cumulative residual error rate, i.e. the level of errors which remain undetected and uncorrected, does not exceed 2% on an annual basis. An AAR reservation will be issued in the Annual Activity Report if the cumulative residual error rate is above the 2% materiality threshold.

Even though the estimated overall risk at closure is above the 2% for DG DEFIS, due to the 'de minimis' rule we do not have to make a reservation in our AAR.

EURATOM Horizon 2020 and EURATOM Horizon Europe

The EURATOM Horizon 2020 ⁽¹¹⁾ and Horizon Europe ⁽¹²⁾ Regulations complement respectively the Horizon 2020 and Horizon Europe Regulations. The EURATOM Audit Strategy is articulated as a complement to the Horizon 2020 one. However, for the estimation of the amount at risk, only the Horizon 2020 error rate is presented and used, as the EURATOM error rate is not statistically representative. The estimation of EURATOM Horizon Europe error rate is also aligned with the

⁽¹⁰⁾ Regulation (EU) 2021/695 of the European Parliament and of the Council of 28 April 2021 establishing Horizon Europe

⁽¹¹⁾ Council Regulation (Euratom) No 1314/2013 of 16 December 2013 on the Research and Training Programme of the European Atomic Energy Community (2014-2018) complementing the Horizon 2020 Framework Programme for Research and Innovation (OJ 347/84, 20.12.2013).

⁽¹²⁾ Council Regulation (Euratom) 2021/765 complementing the Horizon Europe Regulation

one of Horizon Europe. The quantitative materiality threshold for Euratom programmes is the same as for the Horizon framework programmes.

ANNEX 6: Relevant Control System(s) for budget implementation (RCSs)

ANNEX I: Relevant Control System(s) for budget implementation (RCSs)

RCS N°1: Budget entrusted to other entities

This RCS covers:

- (1) under indirect management, the agreements with **ESA** for the EGNSS, Galileo FOC, EGNOS, Copernicus, SSA, GOVSATCOM, IOD/IOV and IRIS²
- (2) under indirect management, the agreement with **EUSPA** for the space programme components, horizontal activities, research activities and past agreements for EGNSS
- (3) under indirect management, Copernicus agreements with **EUMETSAT**, **ECMWF**, **EEA**, **EMSA**, **FRONTEX**, **MERCATOR OCEAN**, **SATCEN**
- (3) under indirect management, the agreements with **OCCAR** and **EDA** for defence industry programmes
- (4) cross sub-delegations to **other Commission services** (such as JRC).

Stage 1 – Establishment (or prolongation) of the mandate to the entrusted entity (EE)

Main control objectives: Ensure that the legal framework for the management of the relevant funds is fully compliant and regular (legality & regularity), that is delegated to the appropriate entity (best value for public money, economy, efficiency), without any conflicts of interests (anti-fraud strategy) and gives all the rules necessary for a smooth running by the EE.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The Financial Framework Partnership Agreement (FFPA) with EUSPA and ESA and Contributions Agreement (CA) does not clearly set out: - delegated tasks, responsibilities of each involved actor - internal control and reporting	Take the <i>lessons learned</i> from prior similar CAs Ex-ante review by the relevant staff within DG DEFIS Consultation of the central EU services (DG BUDG, Legal Service) Hierarchical validation within the	Coverage/Frequency: 100 %/once Depth: Checklist includes a list of the requirements of the regulatory provisions to be complied with. Factors would be (i) whether it is an establishment or a prolongation, (ii) whether it	Costs: estimation of FTEs involved in the preparation and adoption work Benefits: - Total budget amount entrusted to the entity in case of detection of no significant (legal) errors - DG DEFIS reputation intact

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
requirements to be observed - arrangements for protection of EU financial interests and transparency of operations - right of the European Court of Auditors (ECA) and the European Anti-Fraud Office (OLAF) to comprehensively exert their competences to audit the entrusted funds Specific risks related to industrial procurement to be carried out by ESA on behalf of DG DEFIS in the complex oligopolistic space market Specific risks related to industrial procurement to be carried out by GSA in the complex oligopolistic space market	authorising directorate Describe modalities of cooperation, supervision and reporting in the FFPA and CA Explicit allocation of supervision responsibility to individual officials (reflected in task assignment or function descriptions) Ex-ante verification of the procurement procedures carried out by the EE in their own name (for example: EC procurement board with ESA), or on behalf of the EU Scrutiny verification by DG DEFIS of industrial procurements procedures carried out by EUSPA	involves selecting an entity and (iii) consistency with any other entities entrusted by the same DG or family.	Effectiveness: - Quality of the legal work (Basic Act, Legal and Financial Statement and CA) - no ECA or OLAF observations Efficiency: - Average cost of preparation, adoption work done compared with similar cases as benchmark Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 2 – Ex-ante (re)assessment of the entrusted entities financial and control framework

Main control objectives: Ensuring that the EE is fully prepared to start/continue implementing the delegated funds autonomously as requested by the Financial Regulation (Art. 154.4).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Before entrusting tasks of budget implementation to the EE, DG DEFIS has not obtained evidence that the financial and control framework deployed by the EE is sufficiently mature - The EE's own financial framework differs from the EU FR and the two parallel systems coexist with the risk of the EE's own system being applied to EU funds - The EE has not timely informed DG DEFIS about substantial changes made to its systems, rules and procedures that relate to the management of the EU funds entrusted	- DG DEFIS internal or independent external ex-ante assessment of the EE ensuring that there is the same level of protection of the financial interests of the Union equivalent to the one that is provided for when the Commission implements the EU budget (Article 62 FR¹⁴) - Hierarchical validation within the authorising directorate - Require justification and prior consent for any deviation to financial rules (e.g. Riders or Contract Change Notices) - Require timely notification by the EE of any changes to its financial or control systems subsequent to the signature of	Coverage/frequency: - <u>International organisations</u>: prior to the signature, assessment of internal control system of the EE followed if necessary by ad hoc targeted system controls - <u>Agencies</u>: targeted system controls/ad hoc Depth: - 100 %	Costs: - estimation of FTEs involved in the ex-ante assessment process (including missions) - cost of outsourced independent external "pillar" (re)assessment of the EE's control system(s), if not covered by the EE Benefits: - Total budget amount entrusted to the EE if no significant system weaknesses are detected - DG's reputation remains intact Effectiveness: - no ECA or IAS observations - n° of recommendations proposed to EE as result of assessment (i.e.

¹⁴ The future entrusted entities must meet requirements with regard to the following nine "pillars": 1. the internal control system, 2. the accounting system, 3. an independent external audit, as well as rules and procedures for: 4. providing financing from EU funds through grants (optional), 5. procurement (optional), 6. financial instruments (optional), 7. exclusion from access to funding, 8. publication of information on recipients, 9. protection of personal data.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
	the CA - Statement obtained from another DG which also has a CA with the EE (cross-reliance of pillar assessments and exemptions)		deviations from EU FR identified) - quality of ex-ante assessment Efficiency Indicators: - Time-To-Implement recommendations (by the EE) - Time-To-(Re)Assess Economy: ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 3 – Implementation: monitoring, supervision, reporting

Main control objectives: Ensure that the FFPA/CA objectives are achieved and that DG DEFIS is fully and timely informed of any relevant management issues encountered by the EE, in order to possibly mitigate potential financial and/or reputational impacts (legality & regularity, sound financial management, true and fair view reporting, anti-fraud strategy).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Low quality programme results, delayed programme implementation, non-achievement of policy objectives / desired impact on society. - Due to weak modalities of cooperation, supervision and reporting, DG DEFIS is not	Detailed reporting modalities included in FFPA/CA (incl. regular programme evaluation). Reinforced monitoring: - increased participation in EE's governance bodies and technical committees - detailed analysis of all reports submitted by the EE; if necessary,	Coverage: 100 % of the entities are monitored/supervised. Frequency: - daily (operational/financial/technical issues) - monthly (briefings and reports for high level governance meetings) - quarterly (report analysis)	Costs: estimation of FTEs involved in monitoring and supervision (including missions). Benefits: - Total budget amount entrusted to the EE if no significant (legal, management, accounting, fraud, reporting) errors are detected

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
fully and timely informed of relevant financial and/or management issues encountered by the EE, and/or does not (timely) react upon notified issues by mitigating them or by making a reservation for them – which may reflect negatively on the DG's governance reputation and quality of accountability reporting. - EE's financial and control systems are not functioning as expected, even though the outcome of the system (re)assessment was satisfactory (e.g. assets not correctly registered in EEs accounts) - EE's procedures are changed during the mandate	- request additional ad hoc reports - outsourcing of technical assistance on general programme management and ad hoc topics (e.g. asset management, systems audits) - regular EE audits by DG DEFIS, IAS, ECA and close follow-up of implementation of audit recommendations - management review of the supervision results (e.g. regular DEFIS-ESA meeting at Director-General level) - monthly EC/ESA/EUSPA directors meetings to tackle specific issues - set up of ad hoc DEFIS - EE Task Forces to tackle problematic issues - if necessary, referral to OLAF - DG DEFIS is informed in due time of changes in order to assess the impact on the implementation of EU funds and agree or not on changes	- annual (AOXD reports, review of Annual Reports for reservations) <u>In case of operational / financial issues, measures are reinforced.</u> The depth depends on the <u>mandate</u> given to the entity, and on the level of DG DEFIS access to the EE's internal control information.	- DG's reputation remains intact Effectiveness: - FFPA/CA objectives achieved on time - cut-off and closure exercise carried out within deadline - relevance, reliability and quality of control data reported back by EE - n° of serious IAS or ECA findings on control failures - n° of regular monitoring actions, n° of issues under reinforced monitoring, budget % value and amount of errors detected ex-post - Parent DG's AAR assurance on EEs budgets Efficiency Indicators: - no amendments to FFPA/CA to extend programme implementation deadline - FFPA/CA renewed - Time-To-Implement audit recommendations Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 4 – Commission contribution: payment or suspension/interruption

Main control objectives: Ensure that the Commission fully assesses the management situation at the entrusted entity (EE), before either paying out the (next) financial contribution for the operational and/or operating budget of the entity, or deciding to suspend/interrupt the (next) contribution (legality & regularity, sound financial management, anti-fraud strategy).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The Commission pays out the (next) contribution to the entrusted entity: - while not being aware of management issues that may lead to financial and/or reputational damage - despite being aware of such issues - with incorrect calculation of the cash needs of the entrusted entity - with no implementation of the audit results by the entrusted entity	- Require EE to report back on management issues as soon as possible - Ex-ante operational and financial verifications leading to correction of errors and restatement of corrected contribution request - Management review of supervision results - Hierarchical validation of contribution payment and recovery of non-used funds - If necessary, suspension or interruption of payments	Coverage: 100 % of the contribution payments. Frequency: as per transfer agreement or transfer request The depth depends on the <u>mandate</u> of the (type of) entity, inter alia whether DG DEFIS has full access to the entity's internal control information.	Costs: estimation of FTEs involved in the ex-ante verifications Benefits: - value of errors detected by ex-ante controls - Total budget amount entrusted to the entity if no significant (legal, management, accounting, fraud, reporting) errors are detected - DG's reputation remains intact Effectiveness: - amount of unused operating budget recovered (if any) - budget amount of the suspended/interrupted payments (if any). Efficiency Indicators: - Time-To-Pay /Recover Economy: - ratio FTEs/funds entrusted (economic when below 10-15 %)

Stage 5 – Audit and evaluation

Main control objectives: Ensuring that assurance building information on the EE's activities is being provided through independent sources as well, which may confirm or contradict the management reporting received from the entrusted entity itself.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- The Commission has insufficient information from independent sources on the EE's management achievements, which prevents drawing conclusions on the assurance for the budget entrusted to the Entity – which may reflect negatively on the Commission's governance reputation and quality of accountability reporting - Decentralised agencies do not fully cooperate with the Discharge authorities and do not provide, as appropriate, any necessary additional information - The entrusted AOXD's control system is subject to AAR reservations and/or ECA criticism - EE refuses access to facilities/information on the basis of classification of the	- FFPA/CA to specify independent audit function and cooperation with IAS and ECA - DG DEFIS own on-the-spot ex-post audits of the EE and/or its beneficiaries - potential escalation of any major governance-related issues - Interim evaluations by independent experts of achievement of policy objectives - if necessary, refer to OLAF - auditors in possession of a personal security clearance	Coverage: All delegation agreement and contribution agreements are checked through samples. Regarding the subsidy paid to EUSPA, the budget executed on behalf of DG DEFIS, is checked by the European Court of Auditors. DG DEFIS does not perform ex-post audits on this subsidy of this agency. The AOXD's systems are presumed to be up to Commission standards. Frequency: <u>Space</u>: once a year or every second year, depending on the entrusted entity. <u>Defence</u>: Each Organisation could be subject to an audit before the closure of the programmes. The depth depends on the <u>mandate</u> of the (type of) entity, inter alia whether the Commission has full access to the entity's internal control information.	Costs: - estimation of FTEs involved in the coordination and execution of the own audits - Ex-post audit mission costs - Cost of outsourced audits Benefits: - Assurance of the AOD that the population audited is clean of error - % rate and value of errors detected by own audits (and subsequently corrected) Effectiveness: - unqualified opinion by the EE's independent external auditor on the EE's annual financial statements - detected error rate of own ex-post audits of EE below materiality threshold - n° of own audits - n° and amount of errors detected by own audits

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
information			Efficiency: - value of total payments audited - Number of audits launched in the year versus annual target - Number of audits closed in the year versus annual target Economy: - ratio: annual cost of own audits / amount of all errors detected - average cost per audit

RCS N°2: Assets

RCS N° 2: Assets

This RCS covers: the physical assets of the EGNSS and Copernicus space programmes

Stage 1 – Recognition: establishment of the Commission's rights on assets in the underlying agreements

Main control objectives: Negotiation of contractual terms. Ensure that the legal framework (agreements with entrusted entities) for the management of the EU assets is fully compliant and regular (legality & regularity) with an appropriate set-up of requirements related to the safeguarding of assets, inventory management and accounting information (true and fair view).

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
FFPA/contribution agreement does not clearly set out: - delegated tasks - the requirements related to the ownership, safeguarding and management of EU property - internal control and reporting requirements - arrangements for protection of EU financial interests and transparency of financial operations - right of the European Court of Auditors (ECA) and the European Anti-Fraud Office (OLAF) to comprehensively exert their competences to audit the entrusted funds	- Investment of adequate time and effort in drafting the new contribution agreement: - Inter-service consultation of relevant Commission services - Detailed and unambiguous modalities of cooperation, supervision and reporting - Stipulations with regard to transfer of ownership and the detailed asset management and reporting requirements	Coverage/Frequency 100 %/once Depth: In-depth control, full investment of DG DEFIS operational, financial and legal units	Costs: estimation of FTEs involved in the preparation and adoption work Benefits: - Proper safeguarding of the EU property - DG DEFIS reputation intact - Cost-efficient implementation of the agreements Effectiveness: - Quality of the legal work (Basic Act, Legal and Financial Statement and DA) - Timely receipt of adequate reporting in line with requirements agreements - no ECA, IAS or OLAF criticism Efficiency: - Time and average cost of preparation, adoption work done compared with similar cases as benchmark Economy: - ratio FTEs/funds entrusted (economic when below 2 %)

Stage 2 – Protection: recording, ensuring correct asset valuation

Main control objectives: Ensuring reliable and accurate asset valuation and reporting (true and fair view)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The implementation of the Agreements entails weaknesses, which lead to the Commission's legal rights in terms of assets ownerships not being duly protected and/or registered and/or reliably reported Non respect of EU accounting rules regarding assets and inventories Inaccurate valuation of assets	Clear programme specific accounting guidelines, inspection, depreciation and de-commissioning rules Formal agreement of Accounting Officer asked for accounting decisions with a material impact Organisation of asset workshops with the entrusted entities Regular meetings of the asset working group with members from the accounting team, DG for Budget and operational units In depth ex-ante controls of accounting data, including sample-wise ex-ante checks of underlying cost and regular checks of inventories	Coverage/Frequency: Full coverage/yearly Depth: In-depth control, full investment of DG DEFIS accounting team in co-operation with operational units	Costs: estimation of cost of staff involved. Cost of the contracted services (if applicable) Benefits: The (average annual) total value of the significant errors detected and thus prevented in terms of the Commission's rights Effectiveness: Number of material internal and external audit findings about incorrect valuation of assets The valuation of assets within the deadlines imposed by the Directorate-general for Budget Efficiency: Time spent on controls related to the asset value Economy: Cost of valuation and accounting of the Commission's assets and evolution over time

Stage 3 – Overall monitoring of proper safeguarding of assets

Main control objectives: Ensuring that the Commission's property is safeguarded adequately

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
Lack of complete and reliable assets register Lack of safeguarding of assets (for example assets lost, damaged or disposed without prior permission of the EU)	Review the controls strategy with an emphasis on documenting the existing control Monitoring reports provided by the relevant asset manager/inventory Physical inspection of assets under EU ownership Defines formal procedure for disposal of assets Other monitoring measures adequate to the programme (i.e. monitoring of asset performance, signal provision)	Performance of physical inspections on the basis of the Multiannual assets verification programme on a materiality based approach. Annual review of reports provided by the entrusted entities	Costs: estimation of cost of staff & missions involved. Benefits: assurance on the existence and safeguarding of the total value of EU assets Budget value of items lost detected Effectiveness: Value of assets inspected per three years as % of net asset (equipment) value Number of follow-up actions Efficiency: Time spent and cost of missions related to the value of assets inspected Economy: Cost of inspections of the EU assets and evolution over time

Stage 4 - Ex-Post controls: supervision monitoring, reviews, audits – plus corrections

Main control objectives: Measuring the effectiveness of ex-ante controls; detect and correct any error with regard to the underlying cost remaining undetected after the implementation of ex-ante controls. Ensuring that the appropriate corrections are being made

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
The ex-ante controls fail to prevent, detect and correct errors in the valuation of the assets	Ex-post audits of cost reported by the entrusted entities that form the basis for the EU asset valuation	Coverage ex post audits: - Representative sample: random or statistical sample sufficiently representative to draw valid management conclusions - Risk-based sample, determined in accordance with the selected risk criteria, aimed to maximise error correction (either higher amounts or expected error rate). - Judgemental sampling	Costs: estimation of cost of staff involved in the supervision and audit strategy Benefits: budget value of the errors, detected by the auditors, which have actually been corrected. Effectiveness: Representative error rate below 2 %. Efficiency: total (average) annual cost of audits compared with benefits (ratio). Economy: Cost of ex-post audits of the underlying cost of asset valuation and evolution over time

RCS N° 3: Procurement

This RCS covers: DG DEFIS own procurement under direct management, which is mostly for studies and technical assistance:

Stage 1 – Decision to launch a procurement procedure (call for tender)**A – Planning**

Main control objectives: Effectiveness, efficiency and economy. Compliance (legality and regularity).

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- The procurement needs are not clearly defined or justified from an economic or operational point of view - Discontinuation of the services provided due to poor/late planning and organisation of the procurement process - Lack of expert knowledge and experience in the highly regulated field of procurement which may lead to the wrong choice of procedure/thresholds and the splitting of purchases - Conflict of interests	- Publication of intended procurements - Detailed financial procedures - In-house technical trainings on procurement management - Regular information on ethics, integrity and fraud awareness to all staff involved in the procurement process	- 100 % of forecast procurements are included in the DG DEFIS Monitoring Tool/work programme.	Costs: - estimation of FTEs involved and the related contract values (if external expertise is used) Quantified Benefits: - Amount of rejection of unjustified purchases Non Quantified Benefits: - Avoidance of litigation - DG DEFIS reputation intact Effectiveness: - n° of ECA observations and % error rate on choice of procurement procedure - n° of successful legal on errors in the procurement procedures

B - Needs assessment & definition

Main control objectives: Effectiveness, efficiency and economy. Compliance (legality and regularity).

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- Risk of not obtaining value for money due to lack of market analysis and/or poor definition of selection criteria - Risk of unequal treatment resulting in litigation, due to selection criteria favouring one contractor - Risk of not receiving the best offers due to the poor definition of the tender specifications (disproportion between contract value and selection/award criteria, or specifications too vague) - Risk of non-compliance with legality and regularity and criticism on choice of procedure due to limited competition and high proportion of negotiated procedures in the very technical, complex and oligopolistic space market	- Encourage use of open procedures, even in relatively closed markets - Technical specifications are prepared and validated by at least 2 staff members, and approved by the responsible operational HoU/ Director before call launch - Verification and validation of tender documents by a specialised team for Public Procurement and Grants Management in the Financial Resources and Internal Control unit before call launch	- 100 % of the specifications are verified. Depth may be determined by the amount and/or the impact on the objectives of the DG if it goes wrong - 100 % of the tenders above a financial threshold (e.g. > EUR 15 000) are reviewed. Depth risk-based, depending on sensitivity	Costs: - estimation of FTEs involved and the related contract values (if external expertise is used) Quantified Benefits: - Value of contracts for which the approval and supervisory control detected material error (negative opinion issued by the DG DEFIS legal team). Non quantified Benefits: - Limit the risk of litigation - Limit the risk of cancellation of a tender Effectiveness: - N° of negative Public Procurement and Grants Management opinions and n° of favourable opinions with reserves. - N° of 'open' procedures or procedures where only one or no offers were received

C – Evaluation & Award

Main control objectives: Effectiveness, efficiency and economy. Compliance (legality and regularity). Fraud prevention and detection.

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- The most economically advantageous offer is not selected due to a biased, inaccurate or 'unfair' evaluation process - Over-consumption of resources (human and financial) due to errors or mismanagement leading to award decisions being contested (resulting in Court and Ombudsman cases) - Damage to the DG's reputation if fraud or criminal behaviour is discovered (conflict of interest)	- All 'call for tender' evaluations involve the use of opinions of more than one qualified official. The evaluation process is more regulated and formalised as the contract value increases. - Risk based approach: higher risk contracts have more in-depth checks - Review of and opinion on evaluation and award documents and process by a specialised legal team before contract award	- Formal evaluation process: Opening and Evaluation committees for all tenders > EUR 140 000¹⁵ including signature of declarations of absence of conflict of interests by the committee members - Risk based approach: 1) second review of evaluation and award documents and process (open and restricted procedure) by the Deputy Director General and Director General for procurements > EUR 10 million 2) validation of negotiated procedures > EUR 140 000 by the Director-General before call launch - 100 % of the offers of the call for tenders are evaluated by more	Costs: - estimation of FTEs involved and the related contract values (if external expertise is used) Quantified Benefits: - Difference between the most onerous offer and the selected one - N° or value of contracts subject to complaints / irregularities - N° of procurements successfully challenged during standstill period Non quantified Benefits: - Compliance with FR - Best value for money Effectiveness: - n° of ECA observations and % error rate concerning evaluation & award stage - n° of negative Public Procurement and Grants Management opinions - n° of successful complaints or

¹⁵ Thresholds for procurement applicable for procurement procedures launched as of 1st January 2022. EUR 140 000 for procurement of supplies and services, EUR 5 350 000 for the procurement of works and concessions.

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
		- than one qualified official. - 100 % of evaluations are checked. - Depth: required documents provided are consistent	Ombudsman or Court cases resulting from non-compliant procurement process Efficiency: - Time-To-Contract - Contract value/cost of FTEs involved in control of contracts

Stage 2 – Contract Management and Financial transactions

Main control objectives: Ensuring that the implementation of the contract is in compliance with the signed contract

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- Bad or non-execution by the contractor, leading to serious problems if contractual deliveries are critical and no short term alternatives are available (risk of over-dependency on certain contractors) - The products/services foreseen are not, totally or partially, provided in accordance with the technical description and requirements foreseen in the contract and/or the amounts paid exceed that due in accordance	- Checks on financial capacity and viability of contractors prior to awarding the contract - Close monitoring of contracts, with possible on-site verifications, particularly of high value contracts resulting from negotiated procedures - Checks on both operational and financial issues carried out at appropriate level using the most qualified staff. As defined in the in accordance with the financial circuits	- 100 % of the contracts are controlled, including only value-adding checks - In case of reimbursement costs, in-depth ex-ante verification - High risk operations identified by risk criteria - For high risk operations, reinforced monitoring of the respect of the timely achievement of the contract's milestones by the contractor	Costs: - estimation of FTEs involved Quantified Benefits: - Amount of irregularities, errors and overpayments prevented by the controls Non quantified Benefits: - DG reputation intact Effectiveness: - n° of ECA observations and % error rate relating to contract management /payment stage - n° of court cases resulting from contract execution problems - % budget execution rate – total amount

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- with the applicable contractual and regulatory provisions - Risk of bad execution due to undetected errors on uncorrected imprecisions in offers or tendering specifications - Business discontinues, because contractor fails to deliver - Plagiarism (studies, reports) - Fraud	- Possibility to run a plagiarism check of reports submitted by contractor - Management of sensitive functions		- committed/paid versus total budget envelope - % of contracts implemented - n° of open critical and/or very important audit recommendations Efficiency: - Time-To-Pay - Late interest payment and damages paid (by the Commission) - Coverage of 1st and 2nd level ex-ante controls Economy: - Average n° of contracts per procurement control FTE - cost of control per running contract - % cost over annual amount disbursed

Stage 3 – Supervisory measures

Main control objectives: Ensuring that any weakness in the procedures (tender and financial transactions) is detected and corrected

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
- An error or non-compliance with regulatory and contractual provisions, including technical specifications, or a fraud is not prevented, detected or corrected	- Supervisory desk review of procurement and financial transactions - Ex-post publication of contracts awarded (and	- 100 % Depth: review any significant problem that occurred - legal team examines procurement procedures	Costs: - estimation of FTEs involved in the controls Non Quantified Benefits:

Main risks	Mitigating controls	Coverage frequency and depth	Cost-Effectiveness indicators (three E's)
by ex-ante control, prior to payment	- subsequent publication in the EU Financial Transparency System) - Regular review of exceptions or non-compliance events reported - Regular review of the procurement process (self-assessment by DG legal team - System and transaction audits by IAS, ECA) and subsequent monitoring of implementation of recommendations for improvement - indicators on procurement are regularly reported	- 100 % of the sample at least once a year to determine any errors or systemic problems or weaknesses in the procedures (procurement and financial transactions)	- Systematic weaknesses corrected - Deterrent effect Effectiveness: - Amounts associated with errors detected (related to fraud, irregularities and error) and in % over total checked. - N° system improvements made Efficiency: - Average time-to-contract Economy: - Proportion of overall cost of control over total expenditure (payments authorised) - Costs of the ex-post controls and supervisory measures with respect to the 'benefits'.

In 2025, administrative expenses related to salaries and/or missions are reported by the service responsible for the commitment, although the payments were executed by another service, notably the PMO and/or DG HR ([1]2), which, until 2024, also reported the corresponding expenditure. This new reporting arrangement was introduced in the context of data rationalisation linked to the implementation of the Commission's new IT accounting system. In 2025, these expenses represented 0.4% of the DG DEFIS' total payments.

This RCS covers: DG DEFIS grants under direct management (action and operating grants)

Stage 1 – Programming, evaluation and selection of proposals

A - Preparation, adoption and publication of the Annual Work Programme (AWP) and Calls for proposals (Calls)

Main control objectives: Ensuring that the Commission receives and selects the proposals that contribute the most towards the achievement of the policy or programme objectives (effectiveness); Compliance (legality & regularity); Prevention of fraud (anti-fraud strategy)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Work Programmes and subsequent calls do not adequately reflect the policy objectives, priorities are incoherent and/or the essential eligibility, selection and award criteria are not adequate to ensure the evaluation of the proposals - Work Programmes are inconsistent within the other family DGs and with the 7 year framework - Work Programmes overlap with other programmes (by other DGs, e.g. Structural Funds) and could lead to double-funding	- Hierarchical validation within the authorising department - Inter-service consultation, including all relevant DGs - Adoption by the Commission - Use corporate templates and corporate tools to prepare and publish the call documents Recommended: - Centralised checklist-based verifications - Explicit allocation of responsibility to individual officials (reflected in task assignment or function descriptions)	If risk materialises, all grants awarded during the year under this WP or call would be irregular. Possible impact: 100 % of budget involved and significant reputational consequences. Coverage: 100 % Depth: All Work Programmes are thoroughly reviewed at all levels, including for operational and legal aspects.	Costs: - Estimation of cost of staff involved in the preparation and validation of the Work Programmes and calls. Cost of contracted services, if any. Benefits: - Only qualitative benefits. A good Work Programme and well publicised calls should generate a large number of good quality projects, from which the most excellent can be chosen. There will therefore be real competition for funds. - The (average annual) total budgetary amount of the Work Programmes or calls with significant errors detected

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Calls are tailored to the advantage of certain candidates due to undue influences from interest groups - Calls are not adequately published and do not reach all target groups - Call documents are incomplete, contain contradicting information or are unclear	- Prepare guiding documents and organise infodays and other dissemination events		and corrected. Effectiveness: - % of n° of calls successfully concluded / number of calls planned in Management Plan/Work Programme - % budget execution rate grant commitments Economy: - average n° and value of running grants managed per control FTE - % cost of control for all stages over annual amount disbursed in grants - average cost of control per grant

B – Selecting and awarding: Evaluation, ranking and selection of proposals

Main control objectives: Ensuring that the most promising projects for meeting the policy objectives are among the proposals selected (effectiveness); Compliance (legality & regularity); Prevention of fraud (anti-fraud strategy)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Evaluation, ranking and selection of proposals not carried out in accordance with the established procedures, policy objectives and priorities	- Selection and appointment of expert evaluators. - Outreach actions to achieve a larger pool of available	- 100 % screening of expert evaluators for technical expertise and independence (e.g. conflicts of interests, nationality bias, ex-employer bias, collusion)	Costs: - Estimation of cost of staff involved in the evaluation and selection of proposals - Cost of the appointment of experts and

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Difficulties to recruit adequate independent experts affecting the quality and timing of the evaluations - Eligibility, selection and award criteria too ambiguous or otherwise inadequate to ensure that grants are awarded to the actions which maximise the overall effectiveness of the EU programme - Unauthorised persons may have access to the electronic system for the management of the calls - Unequal treatment of applicants: inappropriate contacts and/or conflict of interests with certain applicants during the procedure - Monopoly of certain bodies insufficiently justified	- experts. - Admissibility and quality checks on the proposals (financial section). Assessment of the financial proposal in case of lump-sums. - Assessment of the financial capability of the Consortium/beneficiary. - Validation by the AO of ranked list of proposals. In addition, if applicable: opinion of advisory bodies; comitology; inter-service consultation, adoption by the Commission; publication.	- 100 % of admissible proposals are evaluated by independent experts - 100 % of contested decisions are analysed by redress committee	of the logistics of the evaluation Benefits: - 'quality allocation' assurance of the whole committed budget (as it will have been checked ex-ante and is considered reasonable in the interests of the programme) Qualitative benefits: - Expert evaluators from outside the Commission bring independence, state of the art knowledge in the field and a range of different opinions. This will have an impact on the whole project cycle : better planned, better executed projects Effectiveness: - % of proposals evaluated within the year/proposals received - % of n° of (successful) redress challenges / total n° of proposals received - Ratio of proposals received to proposals selected ("oversubscription" rate) - No successful litigation cases Efficiency: - Average Time-To-Publication of

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
			selection results Economy: - Average evaluation cost per proposal (external experts paid only) - % cost of control over annual amount disbursed in grants

Stage 2 - Contracting

Main control objectives: Ensuring that the most promising projects for meeting the policy objectives are among the proposals contracted;
Ensuring that the actions and funds allocation is optimal (Sound Financial Management: best value for public money; effectiveness, economy, efficiency); Compliance (legality & regularity); Prevention of fraud (anti-fraud strategy)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- After evaluation, the description of the action in the grant agreement remains unclear or still includes tasks which do not contribute to the achievement of the programme objectives - Inconsistencies exist between the grant agreement and its annexes - Procedures do not comply with regulatory framework - The consortium proposes changes that put into question the result of the evaluation	- Systematic checks on operational and legal aspects performed before signature of the grant agreement - Project Officers implement evaluators' recommendations in discussion with selected applicants. Hierarchical validation of proposed adjustments. - Validation of beneficiaries (operational and financial viability, SME and Midcap status).	Coverage: - 100 % of the selected proposals and beneficiaries are scrutinised - 100 % of draft grant agreements Depth may be differentiated; determined after considering the type or nature of the beneficiary (e.g. SMEs, joint-ventures) and/or of the modalities (e.g. substantial subcontracting) and/or the total value of the grant. For EDF, specific guidelines on mitigating controls are foreseen in	Costs: - Estimation of cost of staff involved in the contracting process Efficiency: - Average Time-To-Grant Economy: - % cost of control for all stages over annual amount disbursed in grants

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- Delays in the provision of the necessary input to finish the GAP, putting at risk the signature of the contract before year N+1 - The beneficiary: ▪ has overestimated the costs necessary to carry out the action ▪ has made false declarations ▪ lacks operational and/or financial capacity to carry out the action ▪ is awarded several grants for a single action (double funding by different DGs or other donors) ▪ falls into an exclusion situation	- Planning of (mid-term and final) evaluations. - Signature of the grant agreement by the AO. - In-depth financial verification and taking appropriate measures for high-risk beneficiaries - Preparation of a reserve list of projects	the approved GAP methodology [Ares(2023)4518400].	

Stage 3 - Monitoring the execution: Project management - operational, financial and reporting aspects

Main control objectives: ensuring that the operational results (deliverables) from the projects are of good value and meet the objectives and conditions (effectiveness & efficiency); ensuring that the related financial operations comply with regulatory and contractual provisions (legality & regularity); prevention of fraud (anti-fraud strategy); ensuring appropriate accounting of the operations (reliability of reporting, safeguarding of assets and information)

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- The actions foreseen are not, totally or partially, carried out in accordance with the technical description and requirements foreseen in the grant agreement and/or the amounts paid exceed those due according to the applicable contractual and regulatory provisions. - Eligibility conditions of the beneficiary may change during the implementation (e.g. SME bought by a larger company or a company becoming controlled by a third state) - Reimbursement of ineligible costs by DG DEFIS (e.g. due to overinflated timesheets, subcontracting of core activities or without prior tendering procedure) - Several authorising officers implement the same programme	- Kick-off meetings and "launch events" involving the beneficiaries in order to avoid project management and reporting errors - Explain and clarify at front rules on eligibility criteria (most current cases) - Effective external communication about guidance to the beneficiaries - Operational and financial checks in accordance with the financial circuits. - Operation authorisation by the AO - For riskier operations more in-depth ex-ante controls. Scientific reviews if necessary. - Agreement with Member States on security framework principles and role of Project	- 100 % of the projects are controlled, including only value-adding checks - Riskier operations subject to more in-depth controls - The depth depends on risk criteria. However, as a deliberate policy to reduce administrative burden, and to ensure a good balance between trust and control, the level of control at this stage is reduced to a minimum. - High risk operations identified by risk criteria. Red flags: suspicions raised by staff, delayed interim deliverables, suspicion of plagiarism, unstable consortium, requesting many amendments, EDES or anti-fraud flagging, etc. - Audit certificates required for any beneficiary claiming significant	Costs: - estimation of cost of staff involved in the actual management of running projects Benefits: - part of budget value of the costs claimed by the beneficiary, but rejected by staff - Reductions in error rates identified by audit certificates - Budget value of penalties and liquidated damages. - Benefits due to operational review of projects and consequent corrective actions imposed on projects Effectiveness: - % and value of reductions made to EC contribution paid out through the ex-ante desk checks / total value of cost claims desk-checked - % of payments suspended - n° of cost claims desk-checked Efficiency:

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- and do not treat the beneficiaries equally - Insufficient operational performance monitoring of beneficiaries by project officers - Limitations in the security framework do not allow project officers to access the necessary documents to confirm the correct implementation of the action and to provide the "certified correct"	- Manager - When needed: application of suspension/interruption of payments, penalties or liquidated damages, earmark projects for risk-based ex-post audit, refer grant/beneficiary to OLAF - Desk check (ex-ante) by the financial officers of the cost claims provided by the beneficiaries.	EU contribution.	- % and value of reductions made to EU contribution paid through ex-ante desk checks/total value of cost claims checked - Average n° & value of projects managed 'per' staff FTE - Average Time-To-Pay - Average payment suspension time (days) Economy: - % cost of ex-ante control (cost/total amount of grant payments) - Average project management cost (staff FTE * standard staff cost) per running project

Stage 4 - Ex-Post controls: supervision monitoring, reviews, audits – plus corrections

Main control objectives: Measuring the effectiveness of ex-ante controls; detect and correct any error with regard to the underlying cost remaining undetected after the implementation of ex-ante controls. Ensuring that the appropriate corrections are being made.

Main risks	Mitigating controls	Coverage, frequency and depth	Cost-Effectiveness indicators (three E's)
- The ex-ante controls fail to prevent, detect and correct errors in the implementation of the grants - Beneficiary refuses access to facilities/information on the basis of classification of the information	- Ex-post audits of costs reported by the beneficiaries - Auditors in possession of a personal security clearance	Coverage ex post audits: • Representative sample: sufficiently representative to draw valid management conclusions • Risk-based sample, determined in accordance with the selected risk criteria, aimed to maximise error correction (either higher amounts or expected error rate). Frequency: <u>Space</u>: risky based approach in case of red flags. Defence: a specific audit plan will be established after the risk analysis on the EDF first year's interim payments, which are planned in 2023.	Costs: estimation of cost of staff and/or external auditors involved in the supervision and audit strategy Benefits: budget value of the errors, detected by the auditors, which have actually been corrected. Effectiveness: Representative error rate below 2 %. Efficiency: total (average) annual cost of audits compared with benefits (ratio). Economy: Cost of ex-post audits of the underlying cost of the grant

ANNEX 7: Specific annexes related to "financial management"

A. Effectiveness of control results

ENTRUSTED ENTITIES

International Organisations

European Space Agency (ESA)

In 2025 the second largest part of DG DEFIS expenditure was delegated to the European Space Agency (ESA) for the implementation of GNSS (Galileo and EGNOS), Copernicus, Govsatcom and SSA components of the Space Programme, as well as the Horizon Europe programme, which is totalling EUR 632.510 million (19.91 % of the total DG DEFIS 2025 payments).

The assurance on the effectiveness of the internal control systems regarding the legality and regularity of the costs reported is built on:

- ESA's control results and/or assurance:
 - Opinion of the external auditor – unqualified audit opinion
 - Statement of Internal Control of ESA Director-General - clean
 - Reporting quality control at ESA - considered sufficiently reliable to draw conclusions on assurance.
- Authorising Officers by Delegation's own control results on the ESA's operations:
 - Results of the audits on the 2024 Annual Implementation Reports and the implementation of corrections – a minor adjustment of EUR 563 011 on ESA Copernicus (see third table below), representing only 0.21% was revealed.

DG DEFIS ex-post audit team audited all the Annual Implementation Reports (AIRs) and corresponding Annual Financial Reports (AFRs) submitted by ESA in 2025, except the H2020 and Horizon Europe AIRs.

The results of the previous financial audits have been implemented. These corrections were made at the time of the annual clearing of pre-financing payments to ESA. The overall residual error rate is below the 2% materiality threshold.

During the monitoring, errors detected ex-ante in the AIRs and the AFRs, have no impact on the legality and regularity of the amounts paid to ESA, because the amounts paid depend both on costs declared and on cash-flows forecasts. Therefore, it remains possible to rectify them via future clearings of the pre-financings until the end of the delegated programmes.

In the framework of the regular working arrangement and top-level meetings between DG DEFIS and ESA, the Directorate-General closely monitors ESA's progress with the implementation of the programmes and the related reporting. Ensuring business continuity is a priority and in case of

service incidents, intense efforts are deployed and measures put in place to prevent such critical situations in the future.

The Relevant Control System Template (RCS) for indirect management in Annex 6 demonstrates how the control system put in place in the Directorate-General, addresses the risks related to this type of expenditure.

Result indicators: Indicators of annual error – ESA/GNSS GALILEO

GALILEO FOC & FOC-DC					
<i>Annual Implementation Report of Financial Year</i>	Reported by ESA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	523.241.365	523.241.365	498.880.457	0	0,00 %
2022	698.917.807	698.917.807	317.202.052	0	0,00 %
2023	713.042.539	713.355.376	313.491.051	312.837	0,10%
2024	768.349.452	768.349.452	353.743.635	0	0,00%

Result indicators: Indicators of annual error – ESA H2020-IOV

H 2020					
<i>Annual Implementation Report of Financial Year</i>	Reported by ESA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2019	34 845 680	34 845 680		0	0 %
2020	No audit took place				
2021	17.350.540	17.350.540		0	0 %
2022	No audit took place				
2023	48.907.770	48.907.770	20.202.513	0	0%
2024	No audit took place				

Result indicators: Indicators of error – ESA/COPERNICUS

ESA COPERNICUS					
<i>Annual Implementation Report of Financial Year</i>	Reported by ESA (EC accepted costs)	Commission Audit report (eligible costs)	Amount of the sample	Adjustment	Detected error rate
2021	361.092.666	361.092.666	207.345.914	0	0,00%
2022	347.890.397	347.212.364	153.871.137	-678.033	-0,44%
2023	440.326.812	440.326.812	188.938.616	0	0,00%
2024	620.778.330	620.215.319	272.827.995	-563.011	-0,21%

The audits of the 2024 Annual Implementation Reports revealed overall only a very small error. Regular Audits and corresponding corrections ensure that, on a multi-annual basis, the total

amount paid under the Delegation/Contribution Agreements will be compliant with the eligibility rules and will not exceed the limits defined in those Agreements.

Other international organisations, e.g. MERCATOR, ECMWF, EUMETSAT, SATCEN, OCCAR and EDA

The elements that provide assurance on the effectiveness of the internal control system regarding the legality and regularity are mostly the same as explained under ESA.

These entrusted entities are usually audited every two years, according to the audit guidelines established at DG DEFIS unless specific circumstances, justifying a change, are identified. Among the entrusted entities supporting Copernicus, besides ESA, SatCen and ECMWF were audited in 2025.

A follow-up was done on the audit recommendations made in the FAR 2024 for OCCAR.

SATCEN					
Annual Implementation Report of Financial Year	Reported by SatCen	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2019	6.078.214,00	6.078.214,00		0,00	0,00
2020	Not audited				
2021	6.375.332,30	6.325.965,32		-49.366,98	0,02
2022	Not audited				
2023	Not audited				
2024	3.528.997,65	3.514.278,16	2.169.317,40	-14.719,49	-0,01

ECMWF					
Annual Implementation Report of Financial Year	Reported by ECMWF	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2019	54 714 886	54 714 886		0	0.0%
2020	Not audited				
2021	48 536 509	48 536 509		0	0.0%
2022	Not audited				
2023	Not audited				
2024	48.549.209	48.542.658	22.897.178	-6.551	-0,03%

EU Union Bodies

Decentralised Agencies, e.g. EUSPA, EEA, FRONTEX and EMSA

Besides the above-mentioned Delegation/Contribution Agreements, similar agreements have been concluded with the **European Agency for the Space Programme (EUSPA)** in the area of GNSS exploitation activities. In 2025, the EU Agency for the Space Programme (EUSPA)

constituted the largest part of DG DEFIS payments, totalling EUR 1.164 billion (36.64 % of the total DG DEFIS 2025 payments). Although DG DEFIS remains ultimately accountable for the legality and regularity of these expenditures, it is the responsibility of EUSPA to set up the appropriate controls to provide the necessary assurance to its parent Directorate-General. The Commission exercises the supervisory tasks provided for in the existing agreements through ex-ante controls over the regular implementation reports and procurement documentation submitted by the Agency.

EUSPA is audited annually by the European Court of Auditors (ECA) and the submitted AIRs are also audited by external independent auditors. Also, DG DEFIS ex-post control team audited the AIRs of Galileo and EGNOS submitted by ESA/EUSPA. The overall detected error rate for Galileo and EGNOS for 2024 following the DG DEFIS audits (contribution agreement between EUSPA and ESA included) is 0.0% for GALILEO and EGNOS. Given that the grants managed by EUSPA under the H2020 Delegation Agreement are audited by the Common Audit Service (CAS) of the Research family, DG DEFIS used the provided entity's representative detected error rate of 4.38% for that activity.

Result indicators: Indicators of annual error – GALILEO and EGNOS programmes

EUSPA GALILEO					
Annual Implementation Report of Financial Year	Reported by GSA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	923.972.662	924.058.371	125.831.514	85.709	0,01%
2022	888.387.899	886.966.057	187.019.099	-1.421.842	-0,76%
2023	928.251.057	928.252.942	173.333.286	1.886	0,00%
2024	442.131.251	442.131.251	166.998.037	0,00	0,00%

EUSPA EGNOS					
Annual Implementation Report of Financial Year	Reported by GSA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	139.059.958	139.374.969	74.784.197	315.011	0,30%
2022	198.689.967	198.177.401	59.917.981	-512.566	-0,86%
2023	221.479.778	221.467.176	61.754.641	-12.601	-0,02%
2024	169.940.832	169.940.832	57.749.577	0	0,00%

According to the DG DEFIS audit guidelines and the 2025 Audit Work Programme, the entities other than ESA and EUSPA are audited usually every two years.

EMSA					
Annual Implementation Report of Financial Year	Reported by EMSA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	6.339.063	6.313.485	5.872.358	-25.578	0,44%
2022	12.219.461	12.219.410	12.219.461	-51	0,00%
2023	Not audited				
2024	10.851.001	10.851.001	8.683.980	0	0,00%

EEA					
Annual Implementation Report of Financial Year	Reported by EEA	Commission Audit report	Amount of the sample	Adjustment	Detected error rate
2021	17.391.384	17.391.384	9.961.159	0	0,00%
2022	9.583.380	10.257.204	8.049.189	-91.441	-1,14%
2023	Not audited				
2024	19.876.835	19.875.058	12.109.497	-1.778	-0,01%

Although the detected error rates during the ex-post control in 2025 is very low, all the non-audited agencies were given a “theoretical” error rate of 0.5%, following the conservative approach mentioned above. It is to be mentioned that according to DG DEFIS audit guidelines, these Agencies are audited every 2nd year, unless a specific risk is raised. Ex-ante checks and regular monitoring is performed on these entities over the year to ensure legality and regularity of the transactions.

Based on the declarations of assurance provided by the Executive Directors of these decentralised agencies and the results of the performed ex-post audits, DG DEFIS considers the implementation of the delegated funds to be legal and regular.

Executive Agencies

In its capacity of parent DG, DG DEFIS supervises the control systems of HADEA in the context of their direct delegation as Authorising Officer by Delegation (AOD). HADEA performed its ex-post audits in the context of a common audit strategy. HADEA produces its own AAR. The preparation of the Annual Activity Report of HADEA was supervised by the Steering Committee of the Agency.

Overall, DG DEFIS considers that its supervision of HADEA is effective and appropriate.

TYPE III CO-DELEGATION PAYMENTS

In 2025, administrative expenses related to salaries and/or missions are reported by the service responsible for the commitment, although the payments were executed by another service,

notably the PMO and/or DG HR ⁽¹³⁾ ⁽¹¹⁾, which, until 2024, also reported the corresponding expenditure. This new reporting arrangement was introduced in the context of data rationalisation linked to the implementation of the Commission's new IT accounting system. In 2025, these expenses represented 0,4% of the DG DEFIS' total payments.

PROCUREMENT DIRECTLY MANAGED BY DG DEFIS

Procurement under direct management represents 5.53% of the total 2025 DG DEFIS expenditure. The payments made in 2025 on own procurement amount to EUR 175.733.051 (excluding co-delegation payments and experts).

The Relevant Control System template (RCS) n°3 for procurement in Annex 6 demonstrates how the control system in place in the Directorate-General addresses the risks related to this type of expenditure.

In 2025 DG DEFIS signed 3 direct contracts further to open procedures for a total amount close to EUR 2,9 million. In addition, DG DEFIS also signed 5 framework contracts (each with a ceiling of EUR 30 million) and one direct phased contract (total contract value close to EUR 1,5 million/phase 1 value EUR 0,9 million) further to negotiated procedure without prior publication in application of point 11.1 (i) of the Financial Regulation Annex 1. The framework contracts aim at acquiring governmental broadband capacity in the frame of Govsatcom implementation while the direct contract aim at procuring a European launch service aggregation platform. The procurement procedures applied in DG DEFIS involve several specific controls, which are fully in line with the applicable regulatory requirements. The benefit of these specific controls provides assurance on legality and regularity, transparency, equal treatment and proportionality of the public procurement and mitigates the risk of reputational damage. Given the low error rate, there are no indication that a higher level of checks and controls would produce any supplementary benefits.

GRANTS DIRECTLY MANAGED BY DG DEFIS

DG DEFIS has set up internal control processes aimed at ensuring the adequate management of the risks relating to the legality and regularity of the underlying transactions, considering the specificities of the programmes, as well as the nature of the payments concerned.

A major part of the expenditure implemented in 2025 in direct management relates to the European Defence Fund (EDF). In 2025, as result of the 2024 EDF calls for proposals, 45 grant agreements were signed for a total value of EUR 988.74 million. The pre-financing paid for these grants amounts to EUR 429.21 million.

No ex-post audits have yet been carried out over grants supporting defence industry, as the first EDIDP projects started at the end of 2020 and a part of them is still on-going.

⁽¹³⁾ Type III co-delegation.

GRANTS MANAGED BY EUSPA AND AUDITED BY THE COMMON AUDIT SERVICE (CAS)

1. ex-post audits of (CAS)

By the end of 2025, the Common Audit Service (CAS) in DG Research and Innovation audited 5 644 H2020 ⁽¹⁴⁾ and 140 HORIZON ⁽¹⁵⁾ participations **of the Research and Innovation Family**, covering, respectively, 64.55% and 8.90% of total expenditure to date.

The percentage of H2020 expenditure covered by the audits (64.55%) refers to the value of the participations of the audited beneficiaries. It includes both fully audited participations (3.95%), also referred to as the 'direct' coverage, and the non-audited participations, also referred to as the 'indirect' coverage, which after the full treatment of audit results, are clean from systemic errors (60.60%). For HORIZON, the total coverage is 8.90%, of which 0.70% is 'direct' coverage and 8.20% is 'indirect' coverage.

b) Audit target for 2025

The CAS managed to finalise audits on 394 H2020 participations corresponding to 103.4% of the 2025 target. Moreover, 150 HORIZON participations were audited, corresponding to 100.7% of the 2025 target.

2. Progress made on action plans to both reduce the error rate on Horizon 2020 and prevent a high error rate in Horizon Europe

Following an IAS Limited review on the implementation of the Action Plans for the reduction of the Horizon 2020 error rate and for simplifications to reduce the Horizon Europe error rate, and based on the original action plans agreed with central services, DG RTD prepared in 2022 a reprioritized Action Plan to both reduce the error rate on Horizon 2020 and prevent a high error rate in Horizon Europe.

The highest priority has been set on communication, both external and internal. Dedicated webinars and trainings addressed to beneficiaries have been organized all along the year for Horizon Europe. Besides, In the context of the Client centricity project (CCP), the error-rate reduction campaign launched in 2024 continued, with three additional rounds of personalised notifications sent to the most error-prone beneficiaries approaching their reporting deadlines. These notifications were revised to maximise their impact and included practical tips on how to avoid the most common errors. Moreover, the Horizon Europe Learning Framework -launched in

⁽¹⁴⁾ The Horizon 2020 audit campaign started in 2016. At this stage, six Common Representative Samples with a total of 948 expected results have been selected. By the end of 2025, cost claims amounting to EUR 61.3 billion have been submitted by the beneficiaries to the services. In addition to the Common Representative Samples, Common Risk Samples and Additional Samples have also been selected.

⁽¹⁵⁾ The Horizon Europe audit campaign started in 2024. At this stage, one Common Representative Sample with a total of 207 expected results have been selected. By the end of 2025, cost claims amounting to EUR 9.1 billion have been submitted by the beneficiaries to the services. In addition to the Common Representative Samples, Risk-based Samples have also been selected.

early 2024 - continued and the internal trainings enforced in EU Learn were followed by 2126 colleagues in 2025. The aim of the learning framework is to empower users to make optimal use of IT tools and contribute to improving and streamlining controls.

Regarding the increased use of simplified cost options, the Commission has implemented the European Court of Auditors' recommendations on lump sum grants published in its 2022 annual report, in line with the expected target dates. In particular, the Commission has put in place an ex-post control strategy for lump sum grants, developing a methodology for ex-post technical reviews that goes beyond the previous project monitoring and checks the accuracy of projects against evidence in the technical supporting documents.

In 2025, 32 of the 33 ex-post technical reviews launched were completed. More specifically,

- The three reviews under **Horizon 2020** were completed without findings.
- 29 of 30 reviews under **Horizon Europe** were completed, out of which:
 - o 28 without findings,
 - o one with findings, and
 - o one pending for finalisation in January 2026.

Furthermore, three additional reviews were agreed with the relevant Executive Agencies to be launched in early 2026.

The Commission has also made further updates to the expert briefing, internal training, and internal guidance for call coordinators and project officers regarding terminology, acceptance of work packages, and documenting the budget assessment, as well as updating the guidance on how to describe activities in work packages in the Horizon standard proposal templates. All relevant support and guidance on lump sums are available online in one place for internal and external users, respectively. This includes all internal and external events of the information campaign, including the three webinars for external participants on how lump sum grants function, three internal training sessions for PO's on how to manage lump sum grants and proposals, and two training session for call coordinators of lump sum topics all held in 2025. Tools and guidance are continuously improved following the feedback received, for example the detailed budget table and FAQs.

In line with the action plan, DG RTD is proceeding with the roll-out of lump sums in Horizon Europe. Lump sums accounted for more than 35% of the overall call budget for the 'main' work programme for 2025 and reached the goal of at least 50% of the call budget in the 'main' work programme 2026-2027, adopted in December 2025.

The Horizon Europe mid-term evaluation, adopted on 30 April 2025, complemented existing assessments of lump sum funding with further data and analysis (e.g. to quantify the administrative savings). In addition, it confirmed that lump sum grants help avoid financial errors while safeguarding the EU's financial interest and help shift the focus during the implementation stage from financial controls to the project's content, and that controls have been effective and lead to some reductions at evaluation and payment stage, which is reassuring with regard to safeguarding public finances.

The uptake of the personnel unit cost scheme, launched in May 2024 as an additional simplified cost option, remained limited in 2025 (5 beneficiaries opted for it so far). Nevertheless, unit costs offer simplification potential. Therefore, the CIC is continuing to reflect on possibilities for further

improvement to increase the attractiveness of the measure for beneficiaries under the next Horizon Europe programme, while keeping any improved methodology as lean and simple as possible.

DG RTD is part of a broader corporate initiative called Corporate Arachne+, led by DG BUDG and implemented by DG DIGIT. This project aims to create a unified IT system for data analysis and risk assessment, which will integrate data from various internal systems and sources, including external databases like ORBIS and WorldCompliance. Arachne+ will utilize advanced data analytics and Artificial intelligence/Machine Learning to develop predictive algorithms for risk forecasting, such as identifying the likelihood of a company going bankrupt within 18 months or committing double financing.

As a participant in the Arachne+ working group, DG RTD is actively contributing to the business development of the system. Starting from the next MFF, the provision of data will be mandatory for all EU services for Arachne+.. RTD users and data will be onboarded in Phase 4 of the project, scheduled to begin in mid-2026 (provisionally). Further details on this integration will be discussed and finalized as the project timeline approaches.

Finally, DG RTD developed a technical solution to identify entities linked to high-risk suppliers, using Orbis data and information theory algorithm. DG RTD also deployed an initial version of a tool designed to identify entities worldwide that are owned by Russian entities.

Fraud risk management

Objective: The risk of fraud is minimised through the application of effective anti-fraud measures and the implementation of the Commission anti-fraud strategy ⁽¹⁶⁾ aimed at the prevention, detection and correction ⁽¹⁷⁾ of fraud

Indicator 1: Implementation of the actions included in DG DEFIS anti-fraud strategy over the whole lifetime of the strategic plan (2025-2029)

Source of data: DG DEFIS annual activity report, DG DEFIS anti-fraud strategy, OLAF reporting

Baseline (2025)	Target (2029)	Latest known results (situation on 31/12/2025)	
100% of due actions implemented each year	100% of all the due actions implemented each year	All actions foreseen for 2025 implemented	

Main outputs in 2025:

Description	Indicator	Target	Latest known results
Approval and Publication of the revised AFS	Indicator 1	All DG DEFIS staff	Published in July 2025

⁽¹⁶⁾ Communication from the Commission 'Commission Anti-Fraud Strategy: enhanced action to protect the EU budget', COM(2019) 176 of 29 April 2019 – 'the CAFS Communication'; Communication from the Commission "Commission Anti-Fraud Strategy Action plan – revision 2023" [COM\(2023\) 405](#) of 11 July 2023 – "the Communication on the 2023 revision" – and the accompanying revised action plan, [SWD\(2023\) 245](#)– "the revised Action Plan".

⁽¹⁷⁾ Correction of fraud is an umbrella term, which refers in particular to the recovery of amounts unduly spent and to administrative sanctions.

B. Compulsory for all departments:

1. Reports and documentation considered for the assessment of the DG's functioning in view of the AOD's assurance:

Every year, the Acting Director in charge of Risk Management and Internal Control reports on the state of internal control and provides her opinion to the Director-General. The Director-General informs the Commissioner of any potentially significant issues related to financial management, internal control, audit and OLAF investigations if appropriate. For 2025, DG DEFIS management considered that all the key controls were in place to mitigate the risks and functioned as intended in practice.

The effectiveness of the internal control is assessed in accordance with the applicable Commission guidance and requirements and against the identified Internal Control Monitoring Criteria (ICMC). This assessment relies on several monitoring measures, including the reporting of the exceptions and non-compliance events, the status of court cases and Ombudsman cases, audit findings from ECA and IAS, and DG DEFIS periodical risk assessment.

There is a system in place to ensure the reporting of overriding controls or deviations from established processes and procedures, approved by the AOSD at appropriate level and registered in a central register. In 2025, no major recurring deviations to existing rules/procedures were reported that would imply changes in the internal control system.

A risk assessment is conducted twice a year, with involvement of the Directors and middle management. Existing risks are updated, and new risks identified, by considering the outcome of possible specific fraud risk exercises. The risks are then reviewed, validated and recorded in the Risk Register, which is also signed by the Director-General.

DG DEFIS' internal control assessment relies on several monitoring measures and sources of information to obtain a complete data set, covering all aspects of the DG's operations and including deficiencies detected (e.g. results of payment desk reviews, audit findings, exception and non-compliance reports). In 2025, DG DEFIS' auditors performed eight ex-post financial audits and one follow-up audit (on recommendation formulated), covering Space and Defence Industry activities implemented through indirect management.

2. Financial Regulation: Additional reporting requirements resulting from the 2018 and 2024 revisions.

In line with the requirements of the Financial Regulation, DG DEFIS reports for the year 2025:

- 1)** 0 cases of any in-kind donation made to the Union, for the purposes of humanitarian aid, emergency support, civil protection or crisis management aid (FR art 25.3)
- 2)** 2 cases of 'confirmation of instructions' (FR art 92.3) are listed in the DG DEFIS register of exceptions (2 events) and non-compliance events (0 events)

- 3)** 0 cases of financing not linked to costs (FR art 125.3)
- 4)** 3 Financial Framework Partnership Agreements >4 years: one with EUSPA & ESA, one with OCCAR and one with EDA (FR art 131.4).
- 5)** 45 additional EDF grant agreements with flat rates >7% for indirect costs decided by Commission Decisions (FR art 184.6) as EDF finances indirect costs at a flat rate of 25% and possibly higher than 25% if indirect costs are determined as actual indirect costs)
- 6)** 21 grants under the EDF Programme and 5 grants under the EDIRPA programme derogated from the principle of non-retroactivity for grants (FR art 196)
- 7)** 0 cases of financial support to third parties >EUR 60 000 (FR art 207)
- 8)** 0 of non-financial donations provided in the form of services, supplies or works (FR art 244.3)

3. Table Y on the estimated “cost of controls” at Commission level

Overview of department 's estimated cost of controls at Commission (EC) level:

DEFIS	Ex ante controls***			Ex post controls			Total	
	(a)	(b)	(c)	(d)	(e)	(f)	(g)	(h)
Segment of expenditure (as in Table X) / Relevant Control System (RCS) / Other as defined in Annex 6 of the AAR*	EC total costs	related payments Made	Ratio (%)** (a)/(b)	EC total costs	total value verified and/or audited	Ratio (%) (d)/(e)	EC total estimated cost of controls (a)+(g)	Ratio (%)** (g)/(b)
RCS 1 : Budget entrusted to other entities	5.268.190,00 €	2.177.700.282,15 €	0,24%	300.800,00 €	897.179.217,00 €	0,03%	5.568.990,00 €	0,26%
RCS 3: Procurement	4.556.890,00 €	182.488.479,28 €	2,50%	- €	- €	0,00%	4.556.890,00 €	2,50%
RCS 4: Grants	8.916.090,00 €	804.961.509,85 €	1,11%	- €	- €	0,00%	8.916.090,00 €	1,11%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
	- €	- €	0,00%	- €	- €	0,00%	- €	0,00%
OVERALL total estimated cost of control at EC level for expenditure	18.741.170,00 €	3.165.150.271,28 €	0,59%	300.800,00 €	897.179.217,00 €	0,03%	19.041.970,00 €	0,60%

Details of the estimated cost of controls related to shared/pooled control activities carried out by REA and hosted by DG RTD (Common Implementation Centre including Common Audit Service) for the Research and Innovation family are reported in the Annual activity reports of REA and RTD.

The cost of control for the non-expenditure items is included in the cost of control for RCS1 - Heading1: Budget entrusted to other entities (indirect management) and cannot be provided separately.

The costs of control at entrusted entity level, which is performed by their staff, is included in the remuneration paid to the entity and cannot be provided separately.

Details of the estimated cost of the control activities related to payments for salaries and/or missions executed by DG HR/PMO are reported in their respective annual activity report.

C. Compulsory for shared management:

Not applicable

ANNEX 8: Reporting on the internal and external audits and assessing the effectiveness of internal control systems

Since its start, DG DEFIS is subject to audits both from the Internal Audit Service (IAS) and from the European Court of Auditors (ECA), covering various operational, financial, and organisational aspects of its defence industry and space programmes.

The space activities were already regularly audited before the creation of DG DEFIS. In the last seven years (2018-2024), the IAS conducted ten audits:

- Audit on the supervision of project management and payment for Galileo (DG GROW, 2018).
- Audit on intellectual property rights supporting activities (DG GROW, 2018).
- Audit on the supervision of the implementation of the Copernicus Programme - Phase 2: management of the cooperation and coordination (DG GROW, 2018).
- Audit on the supervision of the implementation of the 2014-2020 programme for the European Geostationary Navigation Overlay Service (EGNOS) (2020).
- Audit on payments and accounting for tangible assets under the Galileo and Copernicus 2014-2020 programmes (2020).
- Limited review on the error rate calculation (2021).
- Audit on the preparedness for the management of the European Defence Fund (2022).
- Audit on the preparedness of DG DEFIS's management and control systems for the 2021-2027 Space programme implementation (2023).
- Audit on project management and payment process of the European Defence Fund (2025). Completed by IAS without issuing any recommendation.
- Audit on the early implementation of grants in the short-term defence instruments, ASAP and EDIRPA (2025).
- Audit on the information technology (IT) governance and IT security management in DG DEFIS (2025).

Based on the work done, the IAS concluded that the internal control systems in place for the audited processes were effective, except for three observations giving rise to “very important recommendations”:

- Validation of the SME (or Midcap) status of beneficiaries, in the context of the European Defence Fund calls. The corrective measures have been submitted to the Internal Auditor in 2023 (as planned) and the recommendation is closed.
- Delayed signature of some security management plans established by the financial framework partnership agreement with ESA and EUSPA. Despite the initial delays, the approval of the DG DEFIS (individual) security management plan, was finally signed in October 2024. The recommendation has been closed by IAS in 2025.

- Strengthen the IT security management framework, issued by IAS at the end of 2025. DG DEFIS' action plan has been submitted and accepted by the internal auditor in January 2026, and it is ongoing.

All the other recommendations received by IAS, rated as important, before the audits concluded in 2025, have been implemented by DG DEFIS and closed by the internal auditor.

The European Court of Auditor, in addition to its ordinary annual audits on accounts, carried out three performance audits on DG DEFIS. These audits concerned the following subjects:

- Special Report 07/2021: [EU space programme Galileo and Copernicus: services launched, but the uptake needs a further boost.](#)
- Special Report 10/2023: [The Preparatory action on defence research: Some lessons learned, but value as a testbed for increasing EU defence spending reduced due to time constraints and limited results.](#)
- Special Report 4/2025: [EU military mobility, full speed not reached due to design weaknesses and obstacles en route.](#)

DG DEFIS Management accepted all the issued recommendations. The Special Report 07/2021 has been followed up by ECA, which recognised the progresses made, although some actions were either still to be completed at the time of the review or affected by changes in the political agenda of the Commission. A major achievement after the auditor's follow up is represented by the adoption on 25 June 2025 of the Communication 'A Vision for the European Space Economy', a comprehensive strategy with a broad scope, including the integration and uptake of space data and services uptake in the wider economy. The vision puts forward a number of actions that will be implemented in accordance with a European Space Master Plan. In 2025, the Commission completed the implementation of all the recommendations issued with the Special Report 10/2023, which are now waiting the auditors' follow-up. The action plan linked to the Military Mobility Special Report (SR 04/2025) is progressing well, with some recommendations already implemented through the adoption of the [military mobility package](#), adopted by the Commission and the EEAS on 19 November 2025.

ANNEX 9: Specific annexes related to "Control results" and "Assurance: Reservations"

D. Annex related to "Control results" – Table X: Estimated risk at payment and at closure

Table X: Estimated risk at payment and at closure

Table X : Estimated risk at payment and at closure (amounts in EUR mios)

DG DEFIS	Payments made (2025;MEUR)	minus new prefinancing [plus retentions made] (in 2025;MEUR)	plus cleared prefinancing [minus retentions released and deductions of expenditure made by MS] (in 2025;MEUR)	Relevant expenditure (for 2025;MEUR)	Detected error rate or equivalent estimates	Estimated risk at payment (2025;MEUR)	Adjusted Average Recoveries and Corrections (adjusted ARC; %)	Estimated future corrections [and deductions] (for 2025;MEUR)	Estimated risk at Closure (2025;MEUR)
-1	-2	-3	-4	-5	-6	-7	-8	-9	-10
RCS 1 - Indirect management – Space (Heading 1)	1 945,01	-1 944,99	2 197,79	2 197,81	0,50% - 0,50%	10,99 - 10,99	0,00% - 0,00%	0,04 - 0,04	10,95 - 10,95
RCS 1 - Indirect management – Horizon 2020 – EUSPA - Space (Heading 1)	0,00	0,00	17,84	17,84	3,83% - 3,83%	0,68 - 0,68	2,00% - 2,00%	0,36 - 0,36	0,33 - 0,33
RCS 1 - Indirect management – Horizon Europe – EUSPA - Space (Heading 1)	17,78	- 17,78	30,26	30,26	4,38% - 4,38%	1,33 - 1,33	0,14% - 0,14%	0,04 - 0,04	1,28 - 1,28
RCS 1 - Indirect management – Defence (Heading 5)	132,31	- 132,31	32,71	32,71	2,00% - 2,00%	0,65 - 0,65	0,00% - 0,00%	0,00 - 0,00	0,65 - 0,65
RCS 1 - Subsidies to decentralised agencies (Heading 1)	82,60	- 82,60	85,00	85,00	0,50% - 0,50%	0,42 - 0,42	0,00% - 0,00%	0,00 - 0,00	0,42 - 0,42
RCS 3 - Direct management – Procurements/Experts – Space (Heading 1)	117,18	- 2,34	95,27	210,10	0,50% - 0,50%	1,05 - 1,05	0,00% - 0,00%	0,00 - 0,00	1,05 - 1,05
RCS 3 - Direct management – Procurements/Experts – Defence (Heading 5)	77,35	- 6,51	54,06	124,90	0,50% - 0,50%	0,62 - 0,62	0,00% - 0,00%	0,00 - 0,00	0,62 - 0,62
RCS 4 - Direct management – Grants – Space (Heading 1)	10,79	0,00	1,23	12,03	0,50% - 0,50%	0,06 - 0,06	0,00% - 0,00%	0,00 - 0,00	0,06 - 0,06
RCS 4 - Direct management – Grants – Defence (Heading 5)	794,17	- 431,07	94,90	458,00	2,00% - 2,00%	9,16 - 9,16	0,00% - 0,00%	0,01 - 0,01	9,15 - 9,15
DG total	3 177,19	-2 617,60	2 609,05	3 168,64		24,97 - 24,97	0,01% - 0,01%	0,45 - 0,45	24,52 - 24,52
					Overall risk at payment in %	0,79% - 0,79% (7) / (5)		Overall risk at closure in %	0,77% - 0,77% (10) / (5)

Notes to the table X

(1) Relevant Control Systems differentiated per relevant portfolio segments and at a level which is lower than the total.

(2) Payments made or equivalent, e.g. expenditure registered in the Commission's accounting system, accepted expenditure or cleared pre-financing. In any case, this means after the preventive (ex-ante) control measures have already been implemented earlier in the cycle.

In all cases of Co-Delegations (Internal Rules Article 3), "payments made" are reported by the Delegated departments. For Cross-SubDelegations (Internal Rules Article 12), the reporting remains with the Delegating departments.

(3) New pre-financing actually paid by out by the department itself during the financial year (i.e. excluding any pre-financing received as a transfer from another department). as per note 2.5.1 to the Commission annual accounts thus excluding "Other advances to Member States" which are covered on a purely payment-made basis (note 2.5.2). Pre-financing paid/cleared" are always covered by the Delegated departments, even for Cross-SubDelegations.

(4) Pre-financing actually cleared during the financial year (i.e. their 'delta' in the Financial Year 'actuals', not their 'cut-off' based estimated 'consumption').

Retentions: in Cohesion, the retentions released during the year by the Commission.

(5) For the purpose of equivalence with the ECA's scope of the EC funds with potential exposure to legality & regularity errors (see the ECA's Annual Report methodological annex 1.1), our concept of "relevant expenditure" includes the payments made, subtracts the new pre-financing paid out , and adds the pre-financing actually cleared during the FY. This is a separate and 'hybrid' concept, intentionally combining elements from the budgetary accounting and from the general ledger accounting.

(6) Since the error rates for all the entrusted entities, as shown in Annex 7, are close to "zero", DG DEFIS took the conservative approach and mentioned the 0,5%. This in line with the general instruction below. For defence grant activities, since no specific audit error rates are available, it was decided to put 2%.

For low-risk types of expenditure, where there are indications that the equivalent error rate might be close to 'zero' (*e.g. administrative expenditure*), the rate which should be used is 0.5% as a conservative estimate, unless the department has a more precise estimate based on evidence.

(8) The adjusted average recovery and corrections percentage is *mostly* based on the 7 years historic Average of Recoveries and financial Corrections (ARC), which is the best available indication of the corrective measures each department applied over the past years as a result of ex post controls. The AOD *has adjusted* to take into account any ex-ante elements, one-off events, (partially) cancelled or waived Recovery Orders, and other factors from the past years that would no longer be relevant for the current programmes (e.g. higher ex-post corrections of previously higher errors in earlier generations of grant programmes, current programmes with entirely ex-ante control systems) or that corresponded to exceptional situations in order to come to the best and most conservative estimate of the ex-post future corrections to be applied to the reporting year's relevant expenditure for the current programmes.

(9) For some programmes with no set *closure* point (e.g. EAGF) and for some multiannual programmes for which corrections are still possible afterwards (e.g. EAFRD and ESIF), all corrections that remain possible are considered for this estimate.

(10) RCS 3 covers/includes administrative expenses related to salaries and/or missions previously reported by the PMO and/or DG HR. More information can be found in Annexes 6 and 7.

E. Reservations

Reservations not issued or lifted in 2025 due to the application of the 'de minimis' threshold.

Since 2019 (18), a 'de minimis' rule for financial reservations has been introduced. Quantified reservations related to residual error rates above the 2% materiality threshold are deemed not substantial for segments representing less than 5% of a DG's total payments and with a financial impact below EUR 5 million. For the reporting year, DG DEFIS has identified such case.

The RTD Family operates on a common audit strategy intended to contribute to the legality and regularity of expenditure on a multi-annual basis, including detection and correction of non-systemic and systemic errors. For Horizon 2020 and Horizon Europe, the Common Audit Service (CAS) of the Common Implementation Centre (CIC) carries out all the financial audits, including those concerning grants managed by EUSPA with funds delegated by DG DEFIS. The specific cumulative residual error rate of EUSPA for the Horizon Europe Framework programme for research and innovation on 31 December 2025 was at 4.24%, above the materiality threshold of 2% for financial reservations. However, the cumulative conditions for the application of the 'de minimis' rule are met, since the share of the segment represents 0.6% of the total payments of DG DEFIS and also, the financial impact is low, at EUR 1.3 million. In addition, the weaknesses identified are not considered significant in terms of possible reputational risks as well as in terms of monetary loss. The management has reasonable assurance that, overall, suitable controls are in place and working as intended; risks are being appropriately monitored and mitigated; and necessary improvements and reinforcements are being implemented. Considering all the above DG DEFIS has decided not to issue a quantified financial reservation.

Reservation fiche

Not applicable.

(18) Agreement of the Corporate Management Board of 30/4/2019.
[DEFIS]_aar_2025_annexes

ANNEX 10: Reporting – Human resources, digital transformation and data management, and sound environmental management

Human Resource management

Objective: [The department] employs a skilled, diverse and motivated workforce to deliver on the Commission's priorities			
Indicator 1: Percentage of female middle managers			
Source of data: SYSPER			
Baseline (2024)	Target (2029)	Latest known results (situation on 31/12/2025)	
NA	50%	50%	
Indicator 2: Staff engagement index			
Source of data: Commission staff survey [data to be provided by DG HR]			
Baseline (2023)	Target ⁽¹⁹⁾ (2029)	Latest known results* (situation on 31/12/2025)	
65%	maintain	New staff engagement index (2025): 81% Old staff engagement index (2023): +9 p.p.	
Main outputs in 2025:			
Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Reaching quantitative DG targets for female appointments to middle management functions.	- Female appointment, including first appointment to middle management positions	- 50 % of middle management positions	- 50%
Promote virtual and e-learning opportunities for colleagues (i.e. webinars, e-learning modules)	- Number of virtual and e-learning training sessions followed by DG DEFIS staff	- 10 % of training sessions followed by virtual means	- N/A (no mean of checking)

⁽¹⁹⁾ The Commission baseline score for the Staff Engagement Index is 73% (based on the 2023 staff survey results).

* A new method of measuring staff engagement was introduced in 2025. The new Staff Engagement Index provides a more comprehensive view of staff engagement covering purpose, pride and motivation, autonomy and growth and collaboration and trust. The old Staff Engagement Index, which focused more on job content and relations with immediate colleagues and manager, will be used exclusively for comparisons with past data.

Organise an away day	- Staff attendance - Staff satisfaction survey	- 80 % of DG DEFIS staff	- 90% of DG DEFIS Staff present
Staff's emotional, cognitive and physical connection to the job, organisation and the people within it	- Staff Engagement Index	- 65% in 2025	- 65,3%
Maintenance and animation of DG DEFIS intranet page	- Number of visits	- 10.000 visits	-
Publication of weekly internal newsletters 'DEFIS BUZZ'	- Opening rate	- 50% opening rate	- N/A (no mean of checking)
Organisation of knowledge sharing events (HR labs and DEFIS labs)	- Number of editions - Average number of participants	- 8 editions - Average of 60 participants	- 9 HR Labs and DEFIS Labs combined - Average of 60 participants
Organisation of regular meetings and video debriefs with the Director-General	- Number of meetings - Number of participants - Number of video debriefs	- 2 meetings - Average of 150 participants - 5 video debriefs	- 2 all-staff gatherings - 9 video messages/debriefs featuring senior management

Digital transformation and data management

Objective: DG DEFIS is using innovative, trusted digital solutions for better policymaking, data management and administrative processes to build a digitally transformed, user-focused and data-driven Commission

Indicator 4: Compliance indicator ⁽²⁰⁾: percentage of staff trained on data protection compliance combined with the percentage of public records of processing operations reviewed within the last two years.

Source of data: [department-specific]

Baseline (2024)	Interim milestone (2027) >90%	Target (2029) 100%	Latest known results (situation on 31/12/2025)
65,76%	Departments should set yearly target groups and corresponding targets and ensure timely review of their records of processing activities.		68,5%

Main outputs in 2025:

Indicator 1: Digital Culture

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Digital Culture Promote and monitor staff's digital skills. Promote the use of online collaborative tools, incentivise and empower staff.	Percentage of statutory staff that completed at least one IT training on EU Academy/EU Learn/Linked in Learning.	50 %	44% (37% EC) Source: The Commission Digital Dashboard
Performance of staff on phishing exercise	Percentage of click rate & reporting rate	DEFIS % clicking rate lower or equal to EC % & DEFIS % reporting rate higher or equal to EC %	Clicking 22% > 21% EC Reporting 36% > 33%EC Source: The Commission Digital Dashboard

⁽²⁰⁾ The compliance indicator is calculated with a 50% weight attributed to the following two values: first, the number of public records with a publication date within the last 2 years / public records of the department. Second, the percentage of staff in the department who have attended data protection awareness-raising activities”

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Digital-Ready EU policymaking Ensure outputs related to digital consideration that are taken into account in the early stages of the design of policy initiatives.	Percentage of DG DEFIS legislative proposals that include a Legislative Financial and Digital Statement (LFDS) identifying at least one requirement of digital relevance, flagged.	100%	66.67 % (33.33% couldn't be assessed) Source: The Commission Digital Dashboard
Business-driven Digital Transformation Common approach to AI and promote the use of corporate AI tools.	Creation of an AI champion network and a collaborative MS Teams site.	Creation of an AI champion network with minimum 1 representative per directorate	Done and endorsed by the DEFIS ITDMB
Indicator 2: Seamless digital environment			
Seamless Digital Environment Information Systems streamlined, fit for purpose and running on supported technologies. Cloud first approach with Information Systems owned by the department.	Percentage of Information systems owned by DG DEFIS using (any) cloud infrastructure service.	30%	58% Source: The Commission Digital Dashboard
Green, Resilient and Secure Digital Infrastructure IT System with an updated security plan	Percentage of systems with updated security plan	100%	65% Source: Risk Maturity Quadrant
Compliance attestation with IT security standards	Percentage of IT systems with Compliance attestation on GRC tool	100%	100% Source: Risk Maturity Quadrant
Increase staff cyber-awareness in DG DEFIS	Percentage of staff attending awareness raising activities.	60%	44% (36% EC)
Indicator 3: Corporate data policies maturity level			
Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Data Management Baseline (2024): Developing	- Maturity Level as define by the EC Data Advisory: ○ Basic ○ Developing ○ Established Advanced	Developing	Developing <i>Some efforts to map key data assets and their attributes.</i>

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Ownership and responsibilities Baseline (2024): Basic	- Maturity Level as define by the EC Data Advisory: - o Basic - o Developing - o Established - Advanced	Established	Developing <i>Some data owners and stewards are identified, but their roles are not clearly defined or documented.</i>
Data quality Baseline (2024): Basic	- Maturity Level as define by the EC Data Advisory: - o Basic - o Developing - o Established - Advanced	Developing	Developing <i>Some efforts to improve data quality, but inconsistencies remain.</i>
Data skills Baseline (2024): Developing	- Maturity Level as define by the EC Data Advisory: - o Basic - o Developing - o Established - Advanced	Developing	Developing <i>No structured approach exists for developing data competencies.</i>
Data protection			
Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Increase staff awareness in DG DEFIS on personal data protection rules.	Percentage of staff attending awareness raising activities.	50%	50%
	-	-	

Sound environmental management

Objective: Reaching climate neutrality by 2030 and a reduced environmental footprint for the Commission.

Indicator: % reduction in emissions from staff professional travel (t CO₂eq).

Source of data: DG/department emissions report from Mips+

Baseline (2019)	Target (2030)	Latest known results (situation on 31/12/2025)
NA	50% of reduction (baseline 2019) [unless a specific service-level target has already been defined in the 2025 management plan]	417,49 t CO ₂ eq in 2025 +35% number of missions due to new programmes and increasing number of projects (SAFE, EDF, etc.) The average t CO ₂ eq per mission is decreasing (20%).

Main outputs in 2025

Output	Indicator	Target	Latest known results (situation on 31/12/2025)
Actions to reduce emissions from staff missions	- Number of actions	- 2 actions	- 2 actions
Staff awareness actions	- Number of actions (intranet news items, BUZZ newsletter entries, posters, trainings, events)	- 6 actions	- 7 actions
Implementation of the EC Guidelines for sustainable meetings and events	- Number of green events	- At least 2 events	- 10 events

ANNEX 11: Implementation through non-EU entrusted entities ⁽²¹⁾ and/or through EU Trust Funds

This annex includes information about implementing tasks entrusted to international organisations other than decentralised agencies of the European Union. The pre-financings paid in 2025 are showed in the table below.

Entrusted entity	Segment	Programme(s)	Entrusted tasks	Paid in 2025 (€)	Contribution agreement(s) covering
ESA	Space	Galileo, EGNOS, Copernicus, Horizon Europe, Govsatcom, SSA	Deployment of satellite constellations and ground segment	632.510.141	MFF 14-20 MFF 21-27
EUMETSAT	Space	Copernicus	Operation and development of space infrastructure	96.904.785	MFF 21-27
ECMWF	Space	Copernicus	Earth observation services	64.839.000	MFF 21-27
MERCATOR	Space	Copernicus	Earth observation services	36.286.000	MFF 21-27
SATCEN	Space	Copernicus	Earth observation services	5.605.564	MFF 21-27
EDA	Defence	European Defence Fund (EDF)	Grant management entrusted tasks	69.192.827	MFF 21-27
OCCAR	Defence	European Defence Fund (EDF)	Grant management entrusted tasks	63.120.926	MFF 21-27
Total				968.459.243	

ESA	EUROPEAN SPACE AGENCY
EUMETSAT	EUROPEAN ORGANISATION FOR THE EXPLOITATION OF METEOROLOGICAL SATELLITE
ECMWF	EUROPEAN CENTRE FOR MEDIUM-RANGE WEATHER FORECASTS
MERCATOR	MERCATOR OCEAN
SATCEN	EUROPEAN UNION SATELLITE CENTRE CENTRO DE SATELITES DE LA UNION EUROPEA
EDA	EUROPEAN DEFENCE AGENCY
OCCAR	ORGANISATION FOR JOINT ARMAMENT CO-OPERATION

The recourse to indirect management is justified by the lack of competences and / or resources in DG DEFIS to implement the delegated tasks. The entrusted entities are leaders in the respective services, and the funds are delegated following a pillar assessment, with the purpose to assess preventively if entities to be entrusted by the Commission with budget implementation tasks under indirect management demonstrate a level of protection of the EU financial interests equivalent to that existing when the Commission implements the budget itself. Further controls are performed quarterly/semestrial with analysis of the financial implementation reports and through ex post audits, giving reasonable assurance on the eligibility of the expenses. All the entrusted entities deliver each year a management declaration.

⁽²¹⁾ Implementing partners other than EU institutions or Union bodies.

ANNEX 12: EAMR of the Union Delegations

Not applicable

ANNEX 13: Decentralised agencies and other Union bodies

This annex provides a summary of the funds delegated in 2025 to decentralised agencies of the European Union. The pre-financings paid during the year are showed in the table below.

Entrusted entity	Segment	Programme(s)	Entrusted tasks	Paid in 2025 (€)	Contribution agreement(s) covering
EUSPA	Space	All the space programmes	GNSS services and infrastructures and other space related activities	1.081.434.014	MFF 14-20 MFF 21-27
EEA	Space	Copernicus	Earth observation services	25.891.000	MFF 21-27
EMSA	Space	Copernicus	Earth observation services	12.011.000	MFF 21-27
Frontex	Space	Copernicus	Earth observation services	7.301.000	MFF 21-27
Total				1.126.637.014	

EUSPA	EUROPEAN UNION AGENCY FOR THE SPACE PROGRAMME
EEA	EUROPEAN ENVIRONMENT AGENCY
EMSA	EUROPEAN MARITIME SAFETY AGENCY
Frontex	EUROPEAN BORDER AND COAST GUARD AGENCY

The delegated funds are used by the entrusted entities to implement the delegated tasks (operational expenses). They include a contribution to the administrative expenses of each entrusted entity in the form either of a fixed remuneration (EEA, 1 904 000 EUR and Frontex 300 000 EUR in 2025) or of a 7% flat rate on the costs forecasted for the year to implement the entrusted tasks (EMSA, 169 780 EUR in 2025).

Moreover, the European Union Agency for the Space Programme (EUSPA), in addition to the operational funds described in the table above, received in 2025 a total subsidy of 82 604 025 EUR.

ANNEX 14: Reporting on the Recovery and Resilience Facility

Not applicable.

